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Plaintiff,)
)
vs.) No. CIV 98-1232(TPJ)
)
) CONFIDENTIAL
Defendant.)
)

_____)
herein, taken on behalf of the plaintiffs at
9:09 a.m., Thursday, August 27, 1998, at One
Microsoft Way, Redmond, Washington, before Kathleen
E. Barney, CSR, pursuant to Subpoena.

Kathleen E. Barney,
Katherine Gale

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I N D E X

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Mr. Boies

GOVERNMENT

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If I move too quickly, let me know and I'll slow down.

I'll be showing you some documents during the course of the deposition and I may point out to you, to speed up the process, portions of the document that pertain to the questions I have, but feel free if you want to take more time to read the entire document to get it in context.

Also, if you don't understand any of my questions, if they are unclear in any way, let me know and I'll try to make them a little more clear. I understand that you are one of the co-founders of Microsoft; is that correct?

A. Yes.

Q. When was the company founded?

A. 1975.

Q. What positions have you held with Microsoft since then?

A. Partner, chairman, CEO.

Q. What is your present title?

A. Chairman and CEO.

Q. Have you been deposed before, sir?

A. Yes.

Q. In other litigations?

A. I'm sorry?

Q. In other litigations? You've been deposed in other litigated matters where Microsoft was a defendant; is that correct?

A. I've been deposed in cases where Microsoft wasn't a defendant and in cases where it was the defendant.

Q. So you understand the deposition process and how it works? Any questions before we proceed into the substance about the procedures?

A. I'm not sure what you mean.

Q. Well, are you comfortable with the procedures here? Do you have any questions before we proceed about how this deposition works? You have the right to speak to counsel if you'd like. As I indicated, if you have any clarifications with respect to any of my questions, please ask me, but I assume you understand the general process since you've been deposed before.

With whom have you spoken in preparation for the deposition today? Anyone other than your counsel?

A. No.

Q. I assume you've reviewed written materials in connection with your preparation for the deposition today; is that correct?

A. I was shown some written documents.

Q. Did you review in that connection any documents that were prepared especially to prepare you for this deposition as opposed to documents that were generated in the normal course of Microsoft's business?

A. No.

Q. Do you keep any work-related files at home as opposed to the office?

A. In general?

Q. Yes.

A. I don't have a filing system at home. I sometimes take paper home, but I don't keep paper there.

Q. Do you use a computer at home?

A. Yes, I do.

Q. Do you use that on work-related matters?

A. Some of the computers I do and some of the computers I don't.

Q. Do you know whether those computers were searched in connection with a document search in this litigation?

A. Those computers don't have storage.

Q. But you don't know whether the hard

disk was searched for any material that might be there that --

A. You should understand it's a portable computer, it moves back and forth. That's the computer with my e-mail, it moves back and forth. So it's the same computer in my office as at home.

Q. I see, okay. And I assume the computer in your office was searched for relevant e-mails; is that your understanding?

A. Yes.

Q. I gather from time to time you give interviews to the press; is that right?

A. Yes.

Q. During those interviews, does anybody from Microsoft or Microsoft's PR firm take notes or record remarks that you make to the press?

A. Sometimes they do. Most times they don't.

Q. Who would be responsible for doing that at Microsoft when that's done?

A. Well, if there is nobody in the meeting, then no one. If there's -- usually it would have to be somebody that was actually present.

Q. Correct. Is there somebody in the Microsoft PR department that is responsible for

making notes or recordings of interviews you give to the press?

A. I said if there is someone in the meeting, then they can choose to do so.

Q. I understand that.

A. There is no particular person who comes to those meetings. Sometimes there is no one in those meetings and sometimes there is someone in the meeting.

Q. When there is somebody there, who undertakes to take notes or make recordings of your remarks?

A. The person who is there.

Q. And who has that been in the past? Can you identify any specific people who would have done that?

A. Well, I wouldn't know all their names. Sometimes Mitch Matthews might be in interviews. Sometimes -- Katie Erling was in when I talked to an analyst once. Marianne Allison, not in the last few years. Melissa Wagner maybe 15 years ago. Pam Edstrom. Dean Katz. Collins Hemingsway. I don't remember everyone who ever sat in an interview with me.

Q. Okay. Have you had any communications

with anyone from a company outside Microsoft with respect to whether or not somebody from that company might testify at the trial of this matter?

A. No.

Q. Sir, are you familiar with the Microsoft Press computer dictionary?

A. No.

Q. You've never cracked it open before?

A. No.

Q. Well, I'll introduce you to it. I have here the Microsoft Press computer dictionary. It's the third edition dated 1997. It says -- it claims to be the authoritative source of definitions for computer terms, concepts and acronyms from the world's most respected computer software company. I'll give you a softball question.

Would you agree that Microsoft is the world's most respected computer software company?

A. Some people would agree with that, some people wouldn't.

Q. What's your opinion?

A. I think we are the most -- if you took it on a statistical basis, yes, we'd be the most respected software company.

Q. This computer dictionary defines

operating system as follows: "The software that controls the allocation and usage of hardware resources such as memory, central processing unit, time, disk space and peripheral devices."

Is that an accurate definition of an operating system?

A. Well, the notion of what's in an operating system has changed quite a bit over time. So that definition is not really complete in terms of how people think of operating systems in the last decade or so.

Q. So this definition in the 1997 dictionary is incomplete in your estimation?

A. What I said is that over time the number of things that are in operating systems has increased and so if you want to look at operating systems in the last decade, you'd say the definition is incomplete.

Q. Is it accurate?

Let me read it to you once again.

"The software that controls the allocation and usage of hardware resources such as memory, central processing unit, time, disk space and peripheral devices."

A. I said in terms of operating systems in

the last decade, it's an incomplete definition.

Q. In what respects is it incomplete?

A. There are aspects of the operating systems in the last decade that aren't included in that definition.

Q. And what aspects?

A. Do you want -- I mean it's a long answer to that question. Shall we go through them all?

Q. Sure, go ahead.

A. Okay. Well, typically the way people interact with computers now is on a graphical basis and so the constructs that relate, for example, to fonts are now, in the last ten years, a typical part of the operating system.

For example, the idea of how you take a font and render it at different sizes, whether you have descenders, how you deal with ligatures, how you deal with, say, Arabic ellision, how you deal with Kanji characters or Hangul characters. And so there is a font rasterizer and a set of font resources and a set of font substitution algorithms that are included in the computer. So that when people write applications that run on top of that computer, they can call on those resources in order to render the

glyphs on the computer screen. And there is a lot of utility software that relates to the management of those fonts.

Q. Is that the end of your answer?

A. No. No. Another thing that is typical in operating systems for the last decade is a set of utilities for managing the disk space that's on the computer dealing with backup, dealing with being out of memory, dealing with security aspects of managing the disk there. And so the various utility programs help you make sure the disk is being used for the most recent information, to help you archive that information in a variety of ways. So that's something that has been in operating systems over the last decade.

Also operating systems have a shell type function that is a way of interacting with the user to navigate through the informational resources. Actually, that's more than a decade that that's been a typical inclusion in the operating system.

Do you want me to keep going on?

Q. Yeah, finish your answer and I'll ask you another question. Let me know when you're done.

A. There's enough things here that I doubt I'll be able to hit them all, but I'll hit another

set of them.

It's typical in terms of interacting with the user to have some sort of facility for helping the user. That is, if the user is confused about the commands, which utility to use and what to do. It's typical now to have something where they can give some sort of ask for help and help will come up onto the computer screen and be displayed in order to let them interact.

It's also typical now not just to map the low-level hardware but also to have very high-level graphics support that's even independent of what's in the hardware that's there. It's typical to have remote booting capabilities so you can get the operating system that can come across the network. It's typical to have things that relate to viruses that you find in computer systems.

Let's see. It's also typical to have as well what you think of as disk management utilities, some application type programs that let you go in and show off some of the strengths of that operating system, what's actually available with that system. So, for example, if you take a Macintosh, when you get it, it has a variety of little things that you can play around with.

It's also typical to have a thing like a control panel, I don't know if you've used that on the Macintosh, but it lets you go in do things like set the sound settings and set the keyboard settings, the keyboard repeat factor. It's -- because of the way operating systems now handle languages, there are a lot of things that have to do with configuring the system in that respect.

In the whole area of networking there's more and more that's being included in operating systems to let people get out and do things, including often the ability to create electronic mail, receive electronic mail, deal with the system in that fashion.

Q. Is it your testimony that the control panel is part of the operating system?

MR. HEINER: Objection. What operating system are we talking about?

MR. HOUCK: Macintosh operating system.

MR. HEINER: Okay.

THE WITNESS: Well, they have a control panel that is part of the Macintosh OS, yes.

Q. BY MR. HOUCK: Is that part of any OS marketed by Microsoft?

A. No. The Macintosh control panel is

actually unique to the Macintosh operating system.
It only appears in the Macintosh operating system.

Q. During the course of your answer, you used the word "application" several times, and let me see if you agree with the definition in the Microsoft dictionary of that term.

Application is there defined as:

"A program designed to assist in the performance of a specific task, such as word processing, accounting or inventory management."

Is that an accurate definition,
Mr. Gates?

A. Could you read it again?

Q. Sure. "A program designed to assist in the performance of a specific task, such as word processing, accounting or inventory management."

A. I'd say it's a pretty vague definition.

Q. Is it accurate, as far as it goes?

A. I'd say it's vague but accurate.

Q. Another term I'm sure we're going to be using throughout the course of the deposition is Web browser. And let me read you the definition from your company's dictionary and see if you think that's accurate.

Web browser is defined by the Microsoft

computer dictionary as follows: "A client application that enables a user to view HTML documents on the World Wide Web, another network for the user's computer, follow the hyperlinks among them and transfer files."

Is that accurate?

A. It's actually describing browsing functionality.

Q. Is it an accurate definition of browsing functionality?

A. It describes part of what you do when you browse.

Q. What is your definition of a Web browser?

A. I'd say browsing technology is what lets you navigate through -- typically it means something that lets you do HTML display and navigation.

Q. Is that what you mean when you use the term Web browser?

A. Well, software that lets you do Web browsing is sometimes referred to as a Web browser.

Q. And Microsoft has marketed a Web browser under the trade name Internet Explorer; is that correct?

A. We've used the term Internet Explorer to refer to the Internet technologies in Windows as well as some stand-alone products we've done.

Q. Let me see if you agree with this definition in the 1997 edition of Microsoft's computer dictionary. The definition is of the term Internet Explorer.

Internet Explorer is defined as follows: "Microsoft's Web browser introduced in October, 1995."

Is that an accurate definition of Internet Explorer?

A. I'm not sure why they say October. I don't think that's right.

Q. When is your recollection that it was introduced?

A. Well, we shipped Windows 95, including browsing functionality, in August, 1995.

Q. Was IE shipped as a stand-alone product in or about October, 1995?

A. No.

Q. Was it ever shipped as a stand-alone product?

A. Well, it depends on what you are referring to. If you are talking about Unix or the

Macintosh, we did create a set of bits that stood by themselves and could be installed on top of those operating systems.

Q. When were those versions of IE first marketed?

A. Certainly not in October, 1995.

Q. Apart from the timing issue, would you agree that Internet Explorer is defined here correctly as Microsoft's Web browser?

A. Did you actually read what was in there?

Q. Yeah, I read the first sentence. I can read you the whole thing if you'd like.

A. Well, it seems strange. If you're trying to use the dictionary, you might as well read what it says. You could show it to me.

Q. I'll read it to you and I'll show it to you and you tell me if you think there is anything in here that is inaccurate.

The full entry of Internet Explorer reads as follows: "Microsoft's Web browser introduced in October, 1995. Internet Explorer is now available in Windows and Macintosh versions. Later versions provide the ability to incorporate advanced design and animation features in the Web

pages and recognize ActiveX controls and Java applets."

Take a look at it and tell me if there is anything else in there that you think is inaccurate?

A. Well, certainly the product we shipped that was before October, 1995 was Windows 95. The browsing functionality we had in it we've updated quite a bit several times. And so defining Internet Explorer to be what we shipped just on one particular date can't be considered accurate. You have to say that many times we've taken the browsing functionality in Windows, which we refer to as Internet Explorer, and we've updated that functionality. So you can't really pin the definition to a particular date. It's really a brand name we use for those technologies.

Q. Was this definition accurate in 1997 when Microsoft's computer dictionary was sold to the public?

A. I already told you that reference to October, 1995 certainly makes the definition inaccurate.

Q. Apart from that, is it accurate?

A. It's not accurate to say that Internet

Explorer is defined at a single point in time, that it's one set of bits because it's a brand that we have used for a set of technologies that have evolved over time. And in that sense I would take exception to the way that the book, that I've never seen there, happened to define it.

Q. You've described the Web browser as a killer application, haven't you?

A. I'm not sure what you're talking about. You'd have to show me the context.

Q. Okay.

MR. HOUCK: I'd like to mark as Government Exhibit 1 a memorandum from Mr. Bill Gates to the executive staff dated May 22, 1996.

MR. HEINER: We'd like three copies, Mr. Houck.

MR. HOUCK: Unfortunately, I have one for the witness. This is yours, Mr. Gates. You can use the original marked by the court reporter and we'll hand out a keepsake for counsel. We have just one, unfortunately.

MR. HEINER: You were not expecting more than one of us on this side of the table?

MR. HOUCK: I expected to have one lawyer to be the principal representative of

Mr. Gates and if you feel incapable of that, maybe at the break we can make other copies.

MR. HEINER: We're capable of having one, but we'd like to have our side have --

MR. HOUCK: In the past I've been at depositions where several DOJ and state representatives have appeared and we've received just one ourselves from Microsoft, so I extended you the same courtesy, sir.

MR. HEINER: Okay.

(The document referred to was marked by the court reporter as Government Exhibit 337 for identification and is attached hereto.)

Q. BY MR. HOUCK: I'd like you to look at Exhibit 1, Mr. Gates, right here in front of you. This is a memorandum that purports to be from you to your executive staff dated May 22, 1996, and it attaches, for want of a better word, an essay entitled "The Internet PC" dated April 10, 1996. Do you recall writing that essay?

A. It looks like this is an e-mail, not a memorandum.

Q. Do you recall writing the essay dated April 10, 1996 entitled "The Internet PC"?

A. Well, it looks like an essay I wrote.

I don't remember specifically, but it does look like something I wrote.

Q. The portion I refer you to is at the bottom of the first page under the heading called "The Latest Killer App." Do you see that?

A. I see a heading.

Q. First paragraph under that heading reads as follows: "Our industry is always looking for the next 'killer application'-- for a category of software that, by its utility and intelligent design, becomes indispensable to millions of people. Word processors and spreadsheets were the killer applications for business PCs starting in 1981."

And the next sentence reads, "The latest confirmed 'killer app' is the web browser." Do you recall writing that, sir?

A. No.

Q. Do you have any reason to believe you didn't write it?

A. No.

Q. Can you explain what you meant here by describing the Web browser as a "killer app"?

A. I just meant that browsing would be, in our view, a popular thing, not necessarily on the Web but just browsing in general would be a popular

activity.

Q. Is a killer application an application that drives sales of other products like operating systems and hardware?

A. No.

Q. Do you have a definition in your own mind of killer application?

A. It means a popular application.

Q. Let me resort again to the Microsoft computer dictionary, and I'll read you what that says about killer applications. You may disagree with it, and if so, you can tell me.

The Microsoft computer dictionary, 1997 edition, defines killer app as follows, and it gives two definitions. And I'll be very complete this time, Mr. Gates.

The first definition is, "An application of such popularity and widespread standardization that fuels sales of the hardware platform or operating system for which it was written."

Do you agree with that definition?

A. Are you saying to me that there is more in there and you're just reading me part of it?

Q. I'm going to read you the second

definition as well.

A. So you're asking me about it without reading me the whole thing?

Q. No, sir. There's two definitions.

You're familiar with dictionaries, I take it?

Sometimes they have more than one definition of a term; correct?

A. Sometimes terms have more than one meaning, so it's appropriate that dictionaries would give the two different meanings. And generally before you'd ask somebody if they agreed with the dictionary, you'd actually give them the benefit of reading them what is in the dictionary, not just a part of it.

MR. BOISE: Move to strike the answer as nonresponsive.

Q. BY MR. HOUCK: I read you the first definition and asked you if you agreed with that definition.

A. I don't think it's the only definition.

Q. Is that an accurate definition?

A. I'd like to hear what the other --

Q. I'll read it to you. The second definition is, "An application that supplants its competition."

Let me go back and read you the first definition again, now that you've heard both of them. The first definition reads as follows: "An application of such popularity and widespread standardization that fuels sales of the hardware platform or operating system for which it was written."

A. I already told you that my definition of killer app is a very popular application.

Q. Is this definition accurate?

A. I told you, when I use the term "killer application," in particular when I use it in a piece of e-mail, what I mean by it -- I'm sure there's people --

Q. I understand. You've told me that, but there's another question on the table. Do you have any disagreement with this definition?

A. I think most people when they use the word "killer app" are not necessarily tying it to any relationship to hardware.

Q. What about a relationship to an operating system?

A. Usually they're just talking about it being a very popular application. I certainly know of things that have been referred to as killer

applications that haven't driven hardware sales or operating system sales.

Q. What other applications would you identify as being killer applications?

A. Applied simulator.

Q. Any others?

A. Well, you always have to take a year and a context for those things. For example, when desktop publishing software became popular in the 1980's, many people referred to it that way. When people are talking about interactive TV, they thought video on demand would be a killer application. And something went wrong because, you know, the whole thing never caught on. But people had been using that term, the idea of letting people watch movies, as something that would be extremely popular.

Q. In what time frame was the Web browser a killer application?

A. Well, I think Web browsers became very popular between, oh, '95 and '97 they became very popular.

Q. So at that point in time the Web browser was, in your definition, a killer application?

A. They were very popular, yeah.

MS. CLEARY: If I could interrupt for a minute, I'd just like to keep the record straight. We need to renumber Exhibit 1 as Exhibit 337.

Q. BY MR. HOUCK: Microsoft currently markets operating systems for personal computers; correct?

A. Yes.

Q. What's the current version called?

MR. HEINER: Objection.

Q. BY MR. HOUCK: What operating systems for personal computers does Microsoft currently have on the marketplace?

A. Well, we have MS DOS. We've got Windows CE that's got a lot of different versions. We've got Windows 3x, Windows 95, Windows 98, Windows NT Version 3, Windows NT Version 4.

Q. Are all those operating systems currently being marketed by Microsoft?

A. Yes.

Q. Does Microsoft endeavor to track its market share with respect to operating systems on personal computers?

A. There's not some unified effort to do that.

Q. Is there anybody in Microsoft

responsible for trying to determine what Microsoft's market share is with respect to PC operating systems?

A. No.

Q. Have you seen any figures indicating what Microsoft's market share is with respect to operating systems on personal computers?

A. From time to time people doing marketing analysis may pull together some figures like that. And depending on, you know, what the context is, they will be different numbers.

Q. Do you have any -- strike that.

MR. HOUCK: I'd like to mark as Exhibit 338 a Fiscal Year 1996 Midyear Review dated January 22, 1996.

(The document referred to was marked by the court reporter as Government Exhibit 338 for identification and is attached hereto.)

Q. BY MR. HOUCK: Is Exhibit 338 the type of document you referred to that contains market share information?

A. I don't know anything about 338.

Q. Have you ever seen it before?

A. No.

Q. Do you know what position Joachim Kempin held in January, 1996?

A. Yes.

Q. What was his position at that time?

A. He is in charge of our relationships with hardware manufacturers.

Q. Do you have any understanding that in connection with that position he endeavored to determine what Microsoft's market share was with respect to operating systems sold to hardware manufacturers?

A. I'm sorry, say that again.

Q. Do you have any understanding that one of Mr. Kempin's job responsibilities in that connection in 1996 was to try to determine what Microsoft's market share was with respect to operating systems sold to hardware manufacturers?

A. No.

Q. I'd like you to turn to the page of this document that ends in 022. And the heading reads "x86 OS Analysis for Fiscal Year '96."

A. Okay.

Q. On the page that is titled "x86 OS Analysis for Fiscal Year '96" appears a statement, "All other competitive licenses, less than 5%" Do you have any understanding that in or about early 1996 Microsoft's share of the market

with respect to operating systems sold for x86 computers was in the vicinity of 95 percent?

A. No.

Q. What is your understanding of what the Microsoft market share was at that time?

A. I wouldn't know.

Q. Do you have any idea, as you sit here today, what Microsoft's market share is with respect to operating systems sold for x86 architecture computers?

A. Well, piracy alone is greater than 5 percent. But no, I don't know the number.

Q. What other companies besides Microsoft sell operating systems for x86 architecture computers?

A. There's a great number.

Q. Can you identify them?

A. Santa Cruz. Red Brick. Caldera. IBM in many different products. Sun Microsystems. Microware. Wind River.

Those are all I can think of right now.

Q. Do you have any estimate as to what the collective market share of those companies is with respect to operating systems sold for x86 architecture PCs?

A. No.

Q. Is it under 10 percent?

A. Well, I've said to you I don't know the numbers.

Q. Can you estimate it?

A. Actually, I know something about piracy. Are you including that or not?

Q. No, sir. My question was, you've identified a number of companies that market operating systems for x86 PCs; correct?

A. Yes.

Q. And the question is, do you have any understanding at all as to approximately what their collective market share is with respect to operating systems sold on x86 machines that come equipped with operating systems?

A. I wouldn't be the best source for that data.

Q. Can you answer my question?

A. I don't know their market share.

Q. You are unable to estimate it; is that right?

A. I don't think I'd be accurate in guessing and I don't think it's a good idea to guess.

Q. You have no idea whatsoever as to

approximately what the market share is; is that correct?

A. I'm reluctant to give a number because I don't consider myself someone who knows the volumes involved.

Q. You have no understanding whatsoever as to the approximate market share these companies have?

A. Are you asking me for a number or just a --

Q. I'm asking for your best --

A. If you're asking does Microsoft sell more than they do, yes, I can safely say that. But when you say to me what is their share, which I thought was one of the questions you asked, I'd say it's not good for me to guess at the number.

Q. Do you have any understanding as to whether the collective market share of those companies is under 20 percent?

A. What time period were you talking about? I guess I should -- what time period are you saying?

Q. Fiscal year 1997. Do you have any understanding whatsoever as to whether or not the collective market share of all of Microsoft's competitors in operating systems for x86 PC machines

is under 20 percent?

A. It's probably under 20 percent.

Q. Okay. Any idea how far under?

A. No.

Q. Who is the author of documents you've seen at Microsoft with respect to market share information on operating systems?

A. I've told you there is no one whose particular responsibility it is to track those figures, so I'm not sure what documents you're referring to.

Q. Correct me if I'm wrong, but I thought you said you had seen documents that contained market share information; is that right?

A. I've seen documents where people attempt in some context to estimate various numbers.

Q. And what people are you referring to?

A. I'm just saying I've seen documents like that. I'm not saying any particular --

Q. Do you know who authored those documents?

A. No.

Q. Do you recall what unit of Microsoft they came from?

A. They could have come from the product

groups or the sales and marketing groups.

Q. Do you have any understanding as to how the folks who prepared those documents go about tracking Microsoft's market share?

MR. HEINER: Objection. Misstates the testimony.

THE WITNESS: Well, I think IDC and Dataquest are examples of firms who are in the business of trying to measure the size of various product sales. And so sometimes we might look at their numbers. I think the Microsoft library subscribes to a number of services that are in the business of trying to guess at numbers.

MR. HOUCK: I'd like to mark as Exhibit 339 a memorandum or e-mail from Anthony Bay to Ben Slivka dated October 25, 1994.

(The document referred to was marked by the court reporter as Government Exhibit 339 for identification and is attached hereto.)

Q. BY MR. HOUCK: Would you take a look at Exhibit 339, Mr. Gates. Exhibit 339 contains a number of e-mails, and I want to ask you a couple questions about one on the first page from Russell Siegelman to yourself and others re MCI as an access provider dated October 13, 1994.

Do you recall receiving this e-mail?

A. No.

Q. Do you have any reason to believe you didn't get it?

A. No.

Q. What was Mr. Siegelman's position in October of '94?

A. He was involved with looking at Marvel.

Q. And what was Marvel?

A. It was a code name for what we would do in terms of Internet sites or online service activity.

Q. Do you understand that in this e-mail here Mr. Siegelman is opposing a proposal to give MCI a position on the Windows 95 desktop as an Internet service provider?

A. I don't remember anything about MCI. This talks about how we'll have a Mosaic client in Windows 95. I don't see anything in here about the desktop.

Q. It references in this e-mail the Windows box. What do you understand the Windows box to mean?

A. Well, the Windows box is certainly not the Windows desktop. The Windows box is a piece of

cardboard.

Q. Is it your understanding that when he uses "Windows box" here, he means a piece of cardboard?

A. Well, he is probably talking about the stuff that's inside. He is saying access to the Windows box. He is talking about the bits that are on the --

Q. What do you understand to be the subject of the memorandum here that he is addressing?

MR. HEINER: Mr. Houck, you're at risk here of cutting off the witness.

MR. HOUCK: I'm sorry.

MR. HEINER: Or I should say you did cut off the witness.

MR. HOUCK: I apologize if I did. I'm just trying to move this along, but if I cut you off, I apologize.

MR. HEINER: Can we have the last question and answer read back.

(Record read.)

THE WITNESS: This is electronic mail and Russ is suggesting that he disagrees with doing a deal with MCI under these particular terms.

Q. BY MR. HOUCK: In the e-mail he refers

to Windows distribution as a unique and valuable asset, more specifically as "our one unique and valuable asset." Do you see that?

A. I see a sentence that has those words in it.

Q. Do you have an understanding as to what he meant?

A. Well, the Marvel people were having a hard time coming up with a strategy, and in retrospect we can look back and say they didn't come up with a good strategy. And they were looking at, you know, what could they do that would be attractive to a lot of users. And sometimes their goals and the goals of the Windows group were different. And in retrospect it's clear they weren't able to attract a lot of users.

Q. Mr. Gates, I indicated at the outset of the deposition I do want to move through this deposition as quickly as possible, but I must say I think your answers are nonresponsive and rambling, and if that continues to be the case, I'm just letting you know this is going to take much longer than I would have hoped. So I'll pose my question again because I think your answer was nonresponsive. Do you have any understanding as to

what Mr. Siegelman meant here by his reference to Windows distribution being "our one unique and valuable asset"?

A. Was that the question I was asked --

Q. Yes, sir.

A. Can you read me back the previous question?

(The record was read as follows:

"Q. In the e-mail he refers to Windows distribution as a unique and valuable asset, more specifically as 'our one unique and valuable asset.' Do you see that?

"A. I see a sentence that has those words in it.

"Q. Do you have an understanding as to what he meant?"

THE WITNESS: Well, maybe there is some understanding -- you said do I understand what he meant. I thought you were asking about his e-mail as a whole.

Q. BY MR. HOUCK: Let me reask it for the third time and see if I can get an answer.

Do you have any understanding what Mr. Siegelman meant when he referred to Windows distribution as our one unique and valuable asset?

MR. HEINER: This is a line of questioning about the mail that Mr. Gates does not recall reading; is that right?

MR. HOUCK: The question has been put.

THE WITNESS: I think the Marvel group in their search for what they could do to get millions of users at this particular point in time was thinking about making it easy to sign up to the Windows box being something that would be helpful to them and therefore an asset for the Marvel group in what they were doing.

Q. BY MR. HOUCK: Do you understand that Mr. Siegelman in his reference had in mind the large market share that Microsoft has with respect to operating systems?

A. I don't see anything about that in here.

Q. That's not your understanding?

A. Remember, Russ isn't involved with the Windows business, he is involved with the Marvel business.

Q. Do you consider Windows distribution a unique asset of Microsoft?

A. I know that the inclusion of what Marvel became didn't lead to its being popular.

Q. Again, let me ask the question, Mr. Gates. I wasn't asking about Marvel. I was asking about Windows distribution.

A. Well, Marvel was a thing that was put into the Windows box and so, in fact, if the question is is putting things in there, is that valuable in the sense that it creates popularity for those things, there are many good examples that we know where it obviously does not create popularity. So in terms of how much of a value that is, it's very instructive to look at Marvel and what subsequently happened to that because we did include it in the Windows box as one of the things that the user had on the desktop.

MR. HOUCK: Move to strike the answer as nonresponsive.

MR. HEINER: Mr. Houck, I'm afraid that if you ask a question with vague terms, you may get answers that you don't like, but that was a very responsive answer to the question.

Q. BY MR. HOUCK: Let me put the question again without reference to this document. Mr. Gates, do you believe that Windows distribution is a unique asset that Microsoft has?

MR. HEINER: Objection. Form.

Foundation. Defined terms.

THE WITNESS: What do you mean when you say "Windows distribution" there?

Q. BY MR. HOUCK: Do you have an understanding what Mr. Siegelman meant by the phrase "Windows distribution" in his e-mail that he wrote to you?

A. He means -- I think he means, I don't know for sure, I think he means including an icon on the desktop for access to Marvel.

Q. And by "the desktop," you mean the Windows desktop?

A. In this case, yes.

Q. He goes on in the e-mail to say as follows: "The only real advantage we have in this game is Windows distribution. Why sell it so cheaply when we think it will be a big market and can give us leverage in so many ways in the Iway business."

Do you have any understanding what he meant by the phrase "Iway business" here?

A. No. I've never -- I don't remember ever seeing that term before.

Q. What distribution channels has Microsoft employed to distribute Internet Explorer?

A. Well, the primary distribution channel

is the Internet where people very easily download whatever version of Windows Internet technology they're interested in.

We've also distributed it through retailers, the Windows 95 update product and, you know, wherever Windows goes out, which includes retail, OEM. And then people who do Internet signups have also done some distribution. There's a lot of different marketing programs where we'll have like a conference and we'll make available Internet Explorer to people that attend the conferences.

I think we've also included it with Microsoft Office in some cases.

Q. Has Microsoft done research to determine which distribution channels are most effective in delivering browsers that are actually used by people?

A. I think somebody did a survey to ask people where they get their browser at some point.

Q. Do you have any recollection who did that survey?

A. No.

Q. Do you recall what the results were?

A. I know the Internet has always been the primary distribution channel for browsers.

Q. You're talking about specifically Internet Explorer?

A. No.

MR. HOUCK: I'd like to mark as Exhibit 340 a memorandum -- or rather an e-mail -- from Kumar Mehta to Brad Chase and Yusuf Mehdi dated March 27, 1997.

(The document referred to was marked by the court reporter as Government Exhibit 340 for identification and is attached hereto.)

Q. BY MR. HOUCK: Is this an example of the type of memorandum you've seen in which Microsoft has endeavored to determine which distribution channels are most effective in distributing Web browsers?

A. No.

Q. What position in the company did Mr. Mehta have in March of 1997?

A. I don't know.

Q. Do you know if one of his responsibilities was market research?

A. No. I mean I'm not copied on this. I mean just looking at it -- and I certainly have no recollection of seeing this. It also seems to contradict some other things that I have seen.

Q. The e-mail reads as follows: "Bob Foulon is gathering data for a John Roberts meeting with Bill Gates tomorrow. Apparently they are going to discuss whether IE and Memphis should be bundled together."

Do you recall such a meeting with Mr. Foulon and Mr. Roberts?

A. No.

Q. Do you recall Mr. Foulon or Mr. Roberts sharing with you market research data with respect to how people get their browsers?

A. I don't know Bob F-o-u.

Q. Do you understand that is a reference to Bob Foulon?

A. I don't know Bob Foulon. I don't know anyone whose name is Bob F-o-u anything.

Q. Do you know John Roberts?

A. Yes.

Q. What position does he have with Microsoft?

A. He at this time -- is that what you're interested in?

Q. Yes.

A. At this time I think he works for Brad Chase.

Q. Did you have a meeting that you recall with Mr. Roberts and/or Mr. Chase in or about March of 1997 where you talked about the results of market research to determine how people obtained Internet Explorer?

A. I don't remember.

Q. The e-mail I quoted attaches another e-mail dated March 27, 1997, which says in the first two paragraphs, which I'll read, "Bob, here is some information on how people get and use IE that might help you guys. My feeling, based on all the IE research we have done, is that it is a mistake to release Memphis without bundling IE with it. IE users are more likely than other browser users to get it with their computers. Overall, 20% of people who use IE at home obtained it with their computer; and 24% of those using IE at work got it with their computer. Effectively we would be taking away the distribution channel of almost a quarter of all IE users."

Do you have any understanding as to the accuracy of the numbers he cites here with respect to the number of people using IE who obtained it with their computer?

A. I have no idea what we're talking about

in terms of what kinds of users he surveyed or looked at. So no, I have no opinion on it whatsoever. I mean who knows.

Q. Do you have any reason to believe the information he reports here is inaccurate?

A. I don't have enough of a context to even state an opinion. It doesn't even say what kind of users or anything.

Q. Do you have any understanding whatsoever as to approximately what percentage of IE users have obtained IE through the OEM channel?

A. The only data point I know along these lines is I'm pretty sure I've seen that about 60 to 70 percent of people, the browser they're using they got through the Internet, that's the way they got the browser they're working with.

MR. HOUCK: Move to strike the answer as nonresponsive.

Can we have the question back, please.

MR. HEINER: It's just a way to cut through the line of questioning, which is not really going anyplace and he is telling you about the only data point he has in this general subject area, so it's just a question of efficiency.

(The record was read as follows:

"Q. Do you have any understanding whatsoever as to approximately what percentage of IE users have obtained IE through the OEM channel?"

THE WITNESS: Well, I guess I need to explain then how it works. If you take 100 percent and you take the one number that I say I know, which is 60 to 70 percent get it through the Internet, it at least places an upper bound on the number you asked for. And that's all I would know about that statistic.

MR. HOUCK: Move to strike that answer as well.

Q. What information -- strike that.

Can you identify any specific documents you've seen that indicate how IE users obtained IE?

A. No.

Q. Have you seen any documents like that at Microsoft prepared by Microsoft employees?

A. I believe I have, yes.

Q. Do you know who prepared them?

A. No.

MR. HOUCK: Do you want to take a break here?

MR. HEINER: Sure.

VIDEOTAPE OPERATOR: The time is 10:16.

We're going off the record.

(Recess.)

VIDEOTAPE OPERATOR: The time is 10:31.

We're going back on the record.

Q. BY MR. HOUCK: Was Netscape the first company to market a Web browser that gained widespread consumer usage?

A. I think Mosaic was the first browser. I don't know what your criteria -- what you're implying in terms of widespread. Mosaic was the first popular browser and that predates the existence of Netscape for their browser.

Q. Did Netscape's browser supplant the Mosaic browser as the most popular one?

A. There's a point in time where Netscape's browser became more popular in terms of usage share than Mosaic.

Q. Do you recall when that was?

A. I'm sorry?

Q. Do you recall when that was?

A. No. I don't think anybody knows exactly when that was.

MR. HOUCK: I'd like to mark as Exhibit 340 -- excuse me. I'd like to mark as

Exhibit 341 a series of e-mails, the first one being from Pat Ferrel, F-e-r-r-e-l, to Bill Gates and others dated April 6, 1995.

(The document referred to was marked by the court reporter as Government Exhibit 341 for identification and is attached hereto.)

Q. BY MR. HOUCK: I hand you Exhibit 341, Mr. Gates, and this is a series of e-mails and the one I want to ask you about is the one on the second page from Mr. Siegelman to yourself and others dated April 6, 1995. Take a minute to take a look at it. Have you finished reviewing the e-mail?

A. I looked at it.

Q. The e-mail starts off as follows: "Pat Ferrel and I have been thinking about this problem a lot and watching Netscape very closely. I too am very worried."

What position did Mr. Ferrel hold at Microsoft in or about April of 1995?

A. He wasn't involved with Windows. He was involved with Marvel.

Q. Is he still a Microsoft employee?

A. I don't think so. I'm not sure.

Q. Do you recall personally being worried about Netscape in or about April of 1995?

A. No.

Q. Do you recall discussing Netscape with Mr. Siegelman in this time period?

A. I'm sure Russ and I discussed the effect of the Internet in general on online service strategies like the work he was doing that became MSN, but not Netscape in particular, no.

Q. The next sentence of the e-mail says, "I agree with most of your problem statement, but I think you underestimate the publisher/ISV threat. Netscape is already opening up API hooks in their viewer and many ISVs are hopping aboard." Do you know what his reference is to your "problem statement"?

A. No.

Q. Do you understand what he means here when he talks about opening up API hooks and many ISVs hopping aboard?

A. I don't know what he meant. I can guess if you want.

Q. Do you have any understanding as you sit here what he meant by the language used in this e-mail?

A. I don't know what he meant. I'd have to ask him what he meant.

Q. I'm asking for your understanding. Do you have one or not?

A. Understanding of what? Of what he meant?

Q. Yes.

A. No. Of what those words might mean, I can guess.

Q. I don't want you to guess. I'm asking if you have any present understanding of what these words mean.

A. I've told you I don't know who he means by "you." I don't know what he means by "problem statement." So I'm a little unclear about what he means in this paragraph.

Q. Do you have any understanding -- strike that.

By ISV do you understand him to be referring to independent software vendors?

A. That acronym refers to independent software vendor.

Q. And what does the acronym API refer to?

A. Application programming interface.

Q. Do you recall yourself having a concern in or about April, 1995 about the possibility that Netscape was going to open up API hooks in the

Netscape Web browser?

A. I can't pin any recollection to that particular time period, no.

Q. Did you at some point come to the conclusion that the prospect that Netscape might open up API hooks in their browser was a threat to Microsoft?

A. I think in late '95 Andreeson was talking about how he was going to put us out of business, suggesting that their browser was a platform. And, in fact, they did have APIs in their browser.

Q. Do you recall having any concern yourself before late 1995 with respect to the threat posed by Netscape opening up API hooks in their browser?

A. No.

Q. Do you recall that other folks at Microsoft had such concerns before late 1995?

A. It's hard to recall other people's concerns. No, I don't recall other people's concerns.

Q. In the last paragraph of the e-mail Mr. Siegelman refers to the "danger of letting Netscape create a new platform and get

ISV/merchant/content provider support."

Do you have any understanding what he meant by that language?

A. Well, he was in charge of our online service strategy and so he thought of the various things going on in the Internet as affecting what he was going to do. In particular, online services, up until the Internet really exploded in popularity, they'd had content that was unique to their online service. And the whole Internet phenomenon was changing that. And so for Marvel that was a challenge to the business strategy they'd gone down, so I'm sure he is referring to that general issue.

Q. Did you understand Mr. Siegelman had a concern in or about April, 1995 that the opening up of API hooks in Netscape's browser constituted a threat to the Windows operating system?

A. Well, certainly he wasn't involved in the Windows operating system and none of this is about the Windows operating system, so to try to read that into here is certainly incorrect.

MR. HOUCK: Move to strike as nonresponsive.

Repeat the question, please.

(Record read.)

THE WITNESS: I'll give the same answer.

Q. BY MR. HOUCK: In the next sentence Mr. Siegelman says, "I don't think that the way to fight back is simply with a better Web browser either."

Do you recall having any discussion with Mr. Siegelman on what the best way to fight back was?

A. I certainly had discussions with him about our online strategies, which subsequently were not successful, and certainly it's clear that for the online strategy, he needed to do quite a bit, including content relationships, not just browsing functionality.

Q. Did you have any discussion with Mr. Siegelman as to what the best way was for Microsoft to fight back with respect to any threat posed by Netscape to Windows as a platform?

A. Mr. Siegelman wasn't involved with Windows, so I don't understand why you keep asking me about --

Q. Well, you can say yes or no, sir. I don't mean to interrupt, but --

A. No. My discussions with Russ were

about his responsibilities, which were online service activities.

MR. HOUCK: I'd like to mark as Exhibit 342 a series of e-mails, first one being from Nathan Myhrvold to Mr. Gates dated April 24, 1995. (The document referred to was marked by the court reporter as Government Exhibit 342 for identification and is attached hereto.)

Q. BY MR. HOUCK: Before you take a look at that document, do you recall that there was a general discussion at Microsoft at the top executive level in or about April, 1995, with respect to the threat to Microsoft posed by Netscape?

A. No.

Q. What position did Mr. Myhrvold hold with Microsoft in April of 1995?

A. He was Russ Siegelman's boss, so he wasn't involved in the Windows business. He was involved in our online service activities.

Q. Was he one of your top executives?

A. He was an executive. I'm not sure what you mean by top executive. He didn't manage any of the large products that we offer.

Q. Was he sort of Microsoft's resident strategic thinker?

A. No.

Q. Did you value his advice?

A. Not over the advice of people who are more directly involved in their businesses.

Q. Do you recall consulting Mr. Myhrvold's advice in or about April, 1995 as to how Microsoft should respond to Netscape?

A. I'm sure since Nathan was in charge of online services at that time there was some discussion or e-mail about the effect of the Internet growth on the Marvel and Blackbird strategies, but not in a general sense.

Q. If you would, would you take a look at Exhibit 342, and in particular the e-mail on the second page, which is from Mr. Myhrvold to yourself and others regarding Internet strategy dated April 18, 1995.

A. There's a lot of different e-mails here.

Q. The one I referred you to is the one on the second page, sir, the one at the bottom of that page, and it's from Mr. Myhrvold to yourself and others dated April 18, 1995.

A. Doesn't the same e-mail extend for about nine pages or ten pages? Isn't that all one

e-mail?

Q. That's the one I want to ask you about.

A. So it's on all those pages; right?

Q. Right. And the questions I have, to help you focus, are going to be with respect to the first couple pages of the e-mail.

A. Okay.

Q. The first paragraph reads, "There has been a flurry of e-mail about Netscape and our general Internet development strategy. This e-mail is my contribution to this topic."

Does this refresh your recollection there was a general discussion at the upper levels of Microsoft in or about April, 1995 with respect to Netscape and how to respond competitively to Netscape?

A. Well, I think that's a mischaracterization. It appears there was some mail about the effect of Netscape and their activities on our online service strategy.

Q. What do you understand about Mr. Myhrvold's reference here to general Internet development strategy?

A. This memo is about our strategy with the Blackbird front end and how it should relate to

Internet protocols. And it's a very long, nine-page thing about Blackbird and his various opinions about Blackbird. The interesting thing is Blackbird basically was canceled.

Q. Is it your testimony and your understanding that this memorandum is limited to a discussion about Blackbird?

MR. HEINER: Object to the question because you know the witness hasn't read it.

MR. HOUCK: He has read it. He took time to read it.

MR. HEINER: You said you would direct him to two pages and he read two pages. He can read nine pages and tell you what the nine pages are about, if you'd like.

Q. BY MR. HOUCK: Take as much time as you need to review the memorandum and answer my question.

MR. HEINER: Could I have the question read back.

(The record was read as follows:

"Q. Is it your testimony and your understanding that this memorandum is limited to a discussion about Blackbird?")

THE WITNESS: You keep using the word memorandum to refer to electronic mail. I don't

think of electronic mail as a memorandum. So this e-mail, which I haven't read, the part I've glanced at, all the action items, all the things he is saying we should do all relate strictly to Blackbird and the online services activities.

Q. BY MR. HOUCK: Did any of the recipients of this e-mail have responsibilities for Windows?

A. Well, let's see. He copies Russ, who works for him in online services. He copies Craig, who works on interactive TV, not Windows. He copies Dan Rosen, who works on online service. Pat Ferrel, who works on online service. Peter Neupert, who works on online service. And then he copies Paul, who has another part of the business that includes Windows, and he copies me. So Paul and myself have broad responsibilities, but otherwise all the other people are online service people.

Q. Were you and Paul Maritz two senior executives with responsibilities for Windows in April, '95?

A. I'm not sure how you'd characterize my role. I'm the CEO of the company, so all the products of the company -- I'm not sure you'd say -- you'd use the description you used.

Q. Windows is a very important product to Microsoft, is it not?

A. That's right.

Q. Is it fair to say you devote a fair amount of your time to Windows and strategies for marketing Windows and making sure it's a successful product?

A. I spend some of my time on that.

Q. Was that one of Mr. Maritz's principal responsibilities in April of 1995?

A. It was one of his, yes.

Q. In the third paragraph of this e-mail Mr. Myhrvold states, "The big issue to be concerned about is the same issue that we have faced in the past - proprietary standards coming from competing software companies. Netscape is certainly one of the many companies who will try to promote their proprietary extensions (and entirely new protocols) on the world."

Do you have any understanding as to what he was referring to by his reference to issues that Microsoft had faced in the past?

A. No.

Q. Do you know if he is referring to Lotus Notes there?

A. I'm quite certain that's not what he was referring to.

Q. Do you have any present understanding as to what he meant?

A. I'm not sure.

Q. On the next page, first full paragraph, Mr. Myhrvold states, "The world of the Internet is rapidly becoming Windows centric because Windows will be the most popular client operating system by a wide margin."

Did you understand he was referring here to market share enjoyed by Windows?

A. I've said I don't remember the memo specifically, so it's hard for me to say I remember something he was referring to.

Q. You have no present understanding of what he meant by this language; is that correct?

MR. HEINER: That's a different question.

THE WITNESS: It's a different -- which question should I answer?

Q. BY MR. HOUCK: Do you have any present understanding of what -- strike that question. Is it your present understanding that by the reference here to Windows being the most

popular client operating system by a wide margin, Mr. Myhrvold was referring to the market share enjoyed by Windows in or about April, 1995?

A. He may have been.

Q. Several paragraphs further on in this e-mail Mr. Myhrvold states, "As platform specific work is done on the Internet, we want it to be done on our platform. As proprietary technology and protocols are used, we want them to be ours - in as many broad mainstream areas as is reasonably possible."

Is it your understanding that his use of the word "platform" here is a reference to Windows?

A. No.

Q. What is your understanding?

A. He is talking about all our platform activities.

Q. Which would be what?

A. That include Blackbird. That's the primary subject of the memo, as we discussed.

Q. Did you consider Blackbird a platform at this point in time?

A. Yes. What else is it?

Q. Did you have a concern in April of 1995

that Netscape was somehow threatening Blackbird, Microsoft's product?

A. There was a concern that our whole online service strategy, including the Blackbird part of it, may have been something we should change because of all the activity on the Internet in general, including the things Netscape was doing.

Q. Did you have a concern that what Netscape was doing was threatening Blackbird as a platform?

A. The whole phenomenon of people doing Websites using HTML was changing the framework that had existed for online service people, and so the Marvel and Blackbird strategy, you really had to call into question whether changes should be made. And so Netscape was part of a phenomenon that was making us rethink did Blackbird make sense. And eventually, due to size and speed and delays and various changes in the market, we actually canceled Blackbird.

MR. HOUCK: Move to strike the answer as nonresponsive.

Can you read the question back, please.

(Record read.)

MR. HEINER: The answer was directly responsive to the question. You can move to strike

all the answers and we'll have a short transcript.

THE WITNESS: If there is some part of my answer you don't understand, I'll be glad to elucidate, but it's one hundred percent responsive to the question.

Q. BY MR. HOUCK: Isn't it a fact, Mr. Gates, that Blackbird never did become a platform at all?

A. I told you we canceled Blackbird, but Blackbird -- the whole idea of Blackbird is to be a platform for people to write enhanced content on. That's the reason we invested so much money in building Blackbird. As it says in this memo, there were people who were enthusiastic about what we've done in Blackbird, including Nathan.

Q. Isn't it a fact that you executives at Microsoft back in April of '95 were concerned that Netscape's Web browser posed a threat to Microsoft's Windows platform?

A. Well --

Q. You can answer it yes or no, sir.

A. I don't know when people began to think of Netscape as a competitor to Windows. I don't think it was that early, but it might have been. I know that by late '95 when people thought about the

various competitors to Windows, they did think of Netscape.

Q. What's the earliest date you could put on the concern expressed to you by Microsoft executives that Netscape posed a threat to the Windows platform?

MR. HEINER: Asked and answered.

THE WITNESS: I said that in late '95 I'm pretty sure people thought of them as a competitor. I couldn't name a date earlier than that.

I know that online service people were thinking about Netscape and the Internet at earlier dates.

Q. BY MR. HOUCK: Let me ask you a few questions about page 898 of this document, several pages later on. I'll read you the portion of it I want to ask you some questions about so you have that in mind.

"The front end which supports these services is basically the union of the MSN front end with Blackbird and O'Hare. At some point this is very smoothly integrated, but at first they are separate pieces of code stuck together at the end user level.

"The front end should be given away as widely as possible, including:

"Put into Windows. I agree with Paul Maritz's comment that we should distribute the front end very broadly by having it Windows, at least at some point down the line.

"Distributed free on the Internet.

"Distributed free with MSN."

Do you recall any general discussion of this subject with Mr. Myhrvold or Mr. Maritz back in April of '95?

A. I know there was a plan to have Blackbird include all the HTML support and so it would be a superset in that sense.

Q. Is the reference to O'Hare a reference to Internet Explorer?

A. Probably.

He says -- in the memo earlier he says,

"I've had people tell me that the O'Hare people either are (or should be) working on their own plan to superset Internet protocols." So it appears that the author of this memo is pretty confused about what the O'Hare people are doing and therefore what O'Hare is.

MR. HOUCK: Move to strike the last

remark, which was not responsive to any question on the table.

THE WITNESS: I was answering about what the author of this memo meant by the word "O'Hare". And believe me, that sentence that I read to you is very informative on that point.

Q. BY MR. HOUCK: Isn't it a fact that O'Hare is a code name used at Microsoft for Internet Explorer?

A. There was a group of people who were looking at doing the Explorer. Nathan says he doesn't know what those people were doing, what their strategy was at this time he wrote the memo.

MR. HOUCK: Move to strike again the last portion of his answer.

Q. Do you know a gentleman by the name of Ben Slivka?

A. Yes.

Q. What were his responsibilities, if any, at Microsoft back in early 1995?

A. I'm not sure.

MR. HOUCK: I'd like to mark as Government Exhibit 343 a series of e-mails, the first one being from Alec Saunders to various people at Microsoft dated January 31, 1995, the subject being

Frosting and O'Hare.

(The document referred to was marked by the court reporter as Government Exhibit 343 for identification and is attached hereto.)

Q. BY MR. HOUCK: To expedite your review of this document, Mr. Gates, I'll tell you my questions are going to be limited to the e-mail on the last page of the document. This is an e-mail from Ben Slivka to Tim Harris and others at Microsoft dated February 13, 1995 and does not show you as a recipient.

A. Which one?

Q. The top one.

The first sentence of the e-mail from Mr. Slivka states, "O'Hare is the code name for our Internet Client, and we plan to ship it in the Win95 'frosting' package, which sim-ships with Win95."

Do you understand his reference here to O'Hare and the Internet Client to be a reference to what became known as Internet Explorer?

A. I think Internet Explorer 1.0 that was in part of the Windows 95.

Q. Do you recall a plan back in early 1995 to ship a product known as Frosting?

A. I don't recall the plan. I know we

worked on what we called Frosting.

Q. What is your understanding of what Frosting was?

A. It became the Windows Plus Pack. It didn't ship I don't think.

Q. Was it your understanding that at some point in time it was Microsoft's intention to include Internet Explorer in the Frosting package as opposed to Windows 95?

A. Well, for the primary Windows 95 distribution channel, we included Internet Explorer 1.0 with Windows, so when you say Windows 95, it was part of Windows 95. Then there is the Windows 95 Upgrade that was sold at retail, which that had a box labeled "Windows 95 Upgrade" and a box labeled "Windows 95 Plus Pack."

Q. Do you recall that in or about February, 1995, it was Microsoft's intention to include Internet Explorer in the Frosting package and not in Windows 95?

MR. HEINER: Objection.

THE WITNESS: No. I think you misunderstood what I said. Windows 95, the full product, included IE. Windows 95, the upgrade product, did not. But Windows 95, the full product,

whether sold through the OEM or whatever, that included the capabilities. It was just the upgrade that did not.

Q. BY MR. HOUCK: I understood your answer. Let me ask the question again because I don't think you understood the question. The question was, is it your understanding that as of February, 1995, it was not Microsoft's intention to include Internet Explorer in the full product known as Windows 95?

A. The product that didn't include Internet Explorer is called the Windows 95 Upgrade. Windows 95, the full product, did include Internet Explorer.

Q. I understood -- strike that. I understand that when it was marketed, it included Internet Explorer. The question is, is it your recollection that back in February of 1995, it was Microsoft's intention not to include Internet Explorer in Windows 95 but to market it instead as part of the package known as Frothing?

MR. HEINER: You're talking about the OEM channels in that question? I'm wondering, for the record.

MR. HOUCK: The question is complete as

it stands.

Q. Can you answer the question, sir?

A. I'm confused about what you're asking me because you have to differentiate the retail channel, which is the Windows 95 Upgrade and the Plus Pack from Windows 95, the whole product. Windows 95, the whole product, we wanted to include a lot of features. We don't know for sure which features are going to get done in time until really the product is done. So certainly our intention to do it and working hard on doing it, that plan had existed for a long time. We weren't certain for any future on Windows 95 exactly what we would decide to get in or not get in. We did, in fact, get the Internet Explorer 1.0 into the Windows 95 full product.

Q. Do you recall that in or about February, 1995, it was Microsoft's intention to ship O'Hare as part of Frosting?

A. The thing that was code named O'Hare ended up in the Windows 95 full product as one place it came. And another place was in the Plus Pack.

Q. Let me ask it one more time.

Was it Microsoft's plan as of February, 1995, to ship Internet Explorer solely in the Frosting package and not in the initial full

Windows 95 package that was to be marketed?

A. No. Our plan was to get it into the Windows 95 full package if possible.

Q. Do you recall that in or about February, 1995, it was felt at Microsoft that it was not possible to include O'Hare in the Windows 95 package?

A. We had a plan to include it if at all possible. In the world of software development there's always skeptics, so you can name any feature of Windows 95 and you can find somebody who would have been skeptical about whether it would get done or not in time for the shipment of the product. Certainly the people involved in doing the development were working hard and, in fact, they succeeded in achieving our plan, which was as best we could to include it in the product. And we did.

Q. Do you recall what the -- strike that. Do you recall when Microsoft first determined that it would be possible to include IE in Windows 95 that shipped in 1995?

A. Well, as I've said, until the minute you actually ship a product, you can always change your mind about what's going to be in it and what's not going to be in it. And so there wasn't absolute

certainty for the different features until we actually froze the bits.

Q. Who was responsible back in 1995 for determining what went into Windows and what didn't?

A. That's a decision that I would have the final say on.

Q. Who were your senior executives responsible for assisting in that decision?

A. Maritz.

MR. HOUCK: I think our videotape operator wants to change the videotape, so why don't we take a short break.

VIDEOTAPE OPERATOR: The time is 11:15.

We're going off the record.

(Recess.)

VIDEOTAPE OPERATOR: The time is 11:24.

We're going back on the record.

MR. HOUCK: I'd like to mark as Government Exhibit 344 a series of e-mails, first one being from Paul Maritz dated April 12, 1995.

(The document referred to was marked by the court reporter as Government Exhibit 344 for identification and is attached hereto.)

Q. BY MR. HOUCK: Exhibit 344, Mr. Gates, is a series of e-mails and the initial questions will

be about the very last one, which is an e-mail from you to Craig Mundie dated April 10, 1995.

What were Mr. Mundie's responsibilities back in April of 1995?

A. He was doing the broadband online service work, which was sometimes referred to as Interactive TV.

Q. In the first paragraph you say, "Given that we are looking at the Internet destroying our position as a setter of standards in APIs, do you see things we should be doing to use ACT assets to avoid this?"

What was your reference to ACT assets?

A. ACT, A-C-T. That's Craig Mundie's group.

Q. Your e-mail goes on to state, "I admit I find it hard to focus lots of resources on trials and things when the Internet is taking away our power every day."

In what sense did you mean the Internet was taking away Microsoft's power every day?

A. I meant that -- this is copied to people involved in the online service activity, Nathan, Rick and Russ, and not to the Windows people at all. It looks like at 3:00 a.m. that morning I

was thinking about the fact that our ambitions for online service in the narrow band field, we needed to think of some of the broadband work that Craig was doing to come in and be helpful to that, particularly given that the Internet was changing the framework.

Q. What was Mr. Rick Rashid's position in Microsoft back in April of '95?

A. He was -- he had actually two jobs at the time. He was involved in research, but mostly he had moved over to help out with the ACT work, which is the Interactive TV activities.

MR. HOUCK: I'd like to mark as Exhibit 345 a memorandum from Mr. Gates to his executive staff and direct reports entitled "The Internet Tidal Wave."

(The document referred to was marked by the court reporter as Government Exhibit 345 for identification and is attached hereto.)

Q. BY MR. HOUCK: Do you recall authoring this memorandum, Mr. Gates?

A. Yes.

Q. To whom did you send it?

A. It appears it was sent to executive staff and direct reports.

Q. What does executive staff refer to?

A. It's an electronic mail alias for a group of people.

Q. And who did that constitute as of May of 1995?

A. I'm not sure, but it would have included most of the officers.

Q. On the second page of the memorandum, second paragraph you say, "Most important is that the Internet has bootstrapped itself as a place to publish content. It has enough users that it is benefiting from the positive feedback loop of the more users it gets, the more content it gets, and the more content it gets, the more users it gets."

Can you explain what your reference was to a positive feedback loop?

A. Well, it's explained right there. It says "the more users it gets, the more content it gets, and the more content it gets, the more users it gets." I mean I don't expect that people know what the term means, so I explain it right in that sentence.

Q. Is the positive feedback loop something that, in your estimation, would result in ever increasing popularity of the Internet?

A. No.

Q. Did you anticipate in May of 1995 that the Internet would become increasing popular?

A. It had become more popular, yes.

Q. Was one of the reasons you thought it would be more on popular was that more content would be written for the Internet?

A. Created to Internet standards, yes.

Q. And was it your understanding or expectation that the more content that was written, the more users there would be?

A. Yes.

Q. In the fourth page of your memorandum in the second paragraph above the heading "Next Steps," you state, "A new competitor 'born' on the Internet is Netscape. Their browser is dominant, with 70% usage share, allowing them to determine which network extensions will catch on."

Do you recall how you determined that Netscape's usage share was 70 percent at this time?

A. No.

Q. Is your reference to "network extensions" a reference to APIs?

A. No.

Q. What is it a reference to?

A. To network extensions.

Q. And how do you define that?

A. Things that let you do richer things across the network.

Q. Can you give some examples?

A. Advanced HTML. HTML tables. HTML file tags.

Q. Did you undertake a reorganization of Microsoft back at this time in order to position the company to respond better to the Internet?

A. Not at the time I wrote this memo.

Q. Under the heading "Next Steps" you say "The challenge/opportunity of the Internet is a key reason behind the recent organization."

What were you referring to?

A. I'm not sure.

Q. What did you perceive the challenge/opportunity of the Internet to be at this point in time?

A. That users were interested in using the Internet and so we needed to make sure that our software was doing a good job of that and that that was a challenge in the sense that other people could do it and that was competition and an opportunity in the sense that it would grow the importance of our strong software work.

Q. On the next page you talk about various critical steps. Were these steps to respond to the challenge/opportunity of the Internet you described in the earlier part of your memorandum?

A. I'm not sure what you mean by that.

Q. You outline several critical steps.

Can you explain why you felt they were critical?

A. For all the reasons I cite in the entire memo. I mean the whole memo -- there's part of the memo that precedes these steps. I could read the memo up to the point of the critical steps to you if you want.

Q. What was your purpose in sending this memorandum to your key executives?

A. To talk about my view of the Internet tidal wave.

Q. Did you also outline your views as to what steps Microsoft needed to take to respond to the Internet tidal wave?

A. There's a part of the memo that talks about steps.

Q. And in that part of the memorandum, are you outlining the steps that needed to be taken in your view to respond to the Internet tidal wave?

A. I'm suggesting some steps I think we

should take. I wouldn't say they are all related to one particular thing, but I make some recommendations here.

Q. The second step here relates to something called the "Client." Is that a reference to Internet Explorer?

A. No.

Q. What is it a reference to?

A. Client here means Windows.

Q. You say, "First we need to offer a decent client (O'Hare) that exploits Windows 95 shortcuts."

Is not O'Hare a reference to client here?

A. Client means client operating system.

Q. Why did you put "O'Hare" in parentheses after the word "client"?

A. Probably because that's the part of Windows that exploits Windows 95 shortcuts.

Q. What Windows 95 shortcuts did you have in mind?

A. Windows 95 shortcuts is a technical term. And the O'Hare part of Windows exploits this feature known as Windows shortcuts. It doesn't mean shortcut as in the common sense use of the term

shortcut. It means the technical feature Windows 95 shortcuts.

Q. When you use the term "O'Hare" in the e-mails that you write, what do you mean?

A. Well, this -- in this case I meant the group that was working on that part of Windows 95.

Q. And what part is that?

A. The part that supported HTML.

Q. Is that the part that became known as Internet Explorer?

A. Yes. Most of the work in Internet Explorer came out of that group.

Q. Further down in this paragraph you refer to Plus pack. Is that again a reference to something also referred to at Microsoft as Frosting?

A. Yes, Frosting was a name we used for what later became known as Plus pack.

Q. Do you recall it was in or about that time frame that Microsoft was doing everything it possibly could to include the O'Hare client in the Windows 95 package?

A. And by that you mean the Windows 95 full product? Yes.

Q. Who was responsible at Microsoft for accomplishing that?

A. I'm not sure you could point to one individual.

Q. Was there one individual that had primary responsibility?

A. Brad Silverberg managed the group that was doing a lot of that work.

Q. Did you periodically have something you called Think Week?

A. Yes.

Q. What is Think Week?

A. It's setting aside a week of time where I have no meetings or phone calls and I get a chance to use products and learn about new research work that we're doing and other people are doing.

Q. Do you recall one of the subjects you devoted time to in your 1995 Think Week was the Internet?

A. I'm sure I did.

Q. Do you recall receiving information from your subordinates in connection with your 1995 Think Week on the subject of the Internet?

A. Well, before I go off on Think Week, I get boxes of information, usually three cardboard boxes. And some of that I get a chance to look at and some of it I don't. I don't recall specifically

what I was given for that Think Week.

MR. HOUCK: Let's mark as Exhibit 346 a memorandum -- strike that -- an e-mail from Pat Ferrel to Russ Siegelman dated May 3, 1995, on the subject of Bill G's Think Week documents.

(The document referred to was marked by the court reporter as Government Exhibit 346 for identification and is attached hereto.)

Q. BY MR. HOUCK: Do you recall whether you reviewed the attachment to Exhibit 346 in connection with your Think Week activities in 1995?

A. I don't think I did.

Q. I won't ask you any questions about it then.

How did the process work for giving you Think Week materials? Did your senior executives collect items that might be of interest to you and send them to you for your review?

A. Well, most of my Think Week time is focused on technology issues and so there is a variety of people I solicit to provide input. It's not -- many of them are not executives, but people who might have things that I'm interested in learning about.

Q. Do you recall that Mr. Siegelman was

one of the people whom you asked to collect materials for you for your 1995 Think Week?

A. I think probably I asked Brian Flemming to gather the material and he would have gone out to the other people asking.

Q. What position did Mr. Flemming have in --

A. He had an assistant position working for me.

Q. Was it your expectation that the inclusion of Internet Explorer with Windows would drive up Internet Explorer's market share?

MR. HEINER: Objection. Ambiguity.

THE WITNESS: I'm not sure what you mean. We do know that when we included Internet Explorer in Windows, it gained basically no market share.

MR. HOUCK: I'd like to mark as Exhibit 347 what purports to be a transcript of a question-and-answer session with Mr. Gates and others at Microsoft's Financial Analysts Day on July 24, 1997. And this is a document I've downloaded from the Microsoft Website, Mr. Gates.
(The document referred to was marked by the court reporter as Government Exhibit 347 for

identification and is attached hereto.)

Q. BY MR. HOUCK: I'll ask you to take a look, sir, at page 8 of Exhibit 347.

And before you do so, let me ask you this. Do you recall attending this Financial Analysts Day Executive Q & A session?

A. Yes.

Q. And what is that exactly?

A. It's a chance for people to ask questions.

Q. And who attends?

A. Some people from the press, some people from various financial firms or investment firms.

Q. On page 8 appears the following question: "Bill and Steve, you both referred to the importance of building browser share over the coming year. Can you be more explicit about why browser share is important to various aspects of your business and maybe talk about some of the initiatives you're going to be undertaking to increase it?"

And then Mr. Ballmer gives a response, the last paragraph of which is as follows: "There are a lot of things we're investing in over the course of the next year in marketing. Of course, the new browser is the key thing - IE 4.0. But if you

take a look at the initiatives, the content partnership that Paul's teams have formed, the things that we're doing with ISP, the work we're doing with large accounts on digital nervous systems, where the IE browser -- IE 3 today, IE 4 tomorrow -- is fairly fundamental to what we're doing on browser share, the way we're trying to get large accounts, and large and small accounts to author their content to use our dynamic HTML stuff; all of those actions should help, I think, drive up our browser share."

And you're quoted as saying, "Yeah, along with the integration."

Do you recall that question and your giving an answer, Mr. Gates?

A. No.

Q. Do you have any reason to doubt the accuracy of this transcript?

A. Well, in general, transcripts like this which come off an audio tape are somewhat unreliable, but I don't have a specific recollection about that specific question and answer.

MR. HOUCK: I'd like to mark as Exhibit 348 an e-mail from Mr. Allchin to various people dated January 6, 1997.
(The document referred to was marked

by the court reporter as Government Exhibit 348 for identification and is attached hereto.)

Q. BY MR. HOUCK: What do you understand the second e-mail to contain, Mr. Gates, on Exhibit 348?

A. Looks like Ben Slivka is making some comments on something.

Q. Do you understand that this e-mail contains slides that were prepared for a presentation you made or were to make in or about January of 1997?

A. No, these are not slides that were prepared for me to give. I think these are -- it may have been something that Ben Slivka was looking at doing, I'm not sure.

Q. The subject of the second e-mail from Mr. Slivka to Mr. Maritz is "Overview slides for BillG/NC & Java session with 14+'s on Monday." Do you know what the reference here is to a "session with 14+'s"?

A. Well, 14 probably refers to the fact that in our jobs in the technical group, level 14 is a fairly high level. And I know we had a meeting where we asked some of those high-level people to come and sit and talk about our strategy and indicate what they thought about the strategy.

Q. Do you recall making a presentation yourself at that meeting?

A. I made a presentation, but not of these slides.

Q. What was the subject of your presentation?

A. I don't recall exactly, but it certainly wasn't these slides.

Q. Do you recall a discussion at that session of the NC and Java challenge?

A. No.

Q. Do you have any understanding as to what is meant here by the NC and Java challenge?

A. I'm sure NC stands for network computer and the competition that came from that direction. And Java I'm sure refers to the competition coming from that direction.

Q. Why did you consider Java to be a challenge at this point in time?

A. Well, the term Java is used in a lot of different ways. There's a part of it with respect to run times that was a direct competitor to Windows.

Q. Under "Key Platform Challenge" the memo states "Possible emergence of a set of APIs and underlying system software that lead to lesser or no

role for Windows."

Do you recall any of the portion of the discussion on this subject at that meeting?

A. No.

Q. The next sentence says, "Puts our other (server and apps) businesses at a disadvantage."

Do you recall any portion of the discussion on this subject at this meeting?

A. No.

Q. Under the heading "Response Summary" various items appear. One is "Increase IE share" followed by "Integrate with Windows."

Do you recall any discussion about this portion of the meeting?

A. Remember we haven't established that these slides were ever presented at any meeting, so no, I don't recall that being discussed, but doing it in the context of the slides means nothing to me because I don't -- certainly don't think I presented any slides like this.

Q. Do you have any recollection of a discussion at this meeting as to how to increase IE market share?

A. No.

Q. Next page refers to another response as

"Differentiate through Windows integration."

Do you recall any aspect of a discussion on this subject?

A. No.

Q. Do you recall -- strike the question.

Is it correct that the Netscape browser was one of the principal means through which the Java virtual machine was distributed?

A. I don't know what you mean "was distributed." Certainly the Java virtual machine has the ability to be distributed with any application over the Internet, so just like all software on the Internet, distribution is wide open.

Q. Did you form any judgment yourself as to whether the Netscape browser was the major distribution vehicle for the Java virtual machine?

A. Well, I don't know what you mean "the Java virtual machine." Understand that many different companies have Java virtual machines. Netscape had one that was different than the one that Sun had, which was different than ours, which was different than HP's, which was different than IBM's, which was different from Novell's, so you'll have to be more specific. But in terms of distributing those things, they're out there on the Internet easy to

get.

MR. HOUCK: I'll mark as Exhibit 349 an e-mail from Paul Maritz to Mr. Gates and others dated July 14, 1997.

(The document referred to was marked by the court reporter as Government Exhibit 349 for identification and is attached hereto.)

Q. BY MR. HOUCK: To save time, I'll tell you I'm going to ask you about the very first e-mail here from Mr. Maritz to Mr. Dunie and yourself and others. And in particular, where it says "If we look further at Java/JFC being our major threat, then Netscape is the major distribution vehicle."

Do you see that?

A. I see it.

Q. What does JFC refer to here, if you know?

A. Well, as I said, it's all about run time APIs and JFC was the term for what Netscape was putting out as a set of run time APIs, which was different than what Sun was putting out but was their Netscape 1.

Q. Do you have any understanding as to what Mr. Maritz meant here when he referred to Netscape as the major distribution vehicle?

A. Well, Netscape had some unique APIs and one of the ways they were distributing it was through their software products, including the browser.

Q. Did you understand that in Mr. Maritz's view Netscape was the principal means by which people were acquiring the Java virtual machine?

A. Well, you actually started these questions asking about Sun's virtual machine and I explained to you that Netscape's is different, so I'm not sure what you're referring to now.

Q. What did you understand, sir, by Mr. Maritz's reference to being the major distribution vehicle -- strike that.

When Mr. Maritz said that Netscape was the major distribution vehicle, what did you understand him to be saying the vehicle for?

A. The Netscape run time bits. Not Sun's virtual machine. It says JFC there, so obviously it's not Sun.

MR. HOUCK: I'd like to mark as Exhibit 350 an e-mail from Mr. Slivka to various people dated June 12, 1997.

(The document referred to was marked by the court reporter as Government Exhibit 350 for identification and is attached hereto.)

Q. BY MR. HOUCK: The second e-mail on the first page here is from Chris Jones and it says, "Here is final copy of the memo we sent to BillG for Think Week about what we should do to get to 30% browser share."

Do you recall reviewing the attachment as part of your 1995 Think Week?

A. I didn't review it.

Q. What were Mr. Jones's responsibilities in 1995?

A. Good question.

Q. Do you recall?

A. No. He might have worked for Maritz.

MR. HOUCK: I'd like to take a short break now. Do you want to stop for lunch now or --

MR. HEINER: Let's take a lunch break.

VIDEOTAPE OPERATOR: The time is 12:04 p.m. We're going off the record. (Lunch recess.)

THE VIDEOGRAPHER: The time is 12:54. We're going back on the record.

Q BY MR. HOUCK: In or about June 1995, Mr. Gates, did you become involved in the planning for some meetings with Netscape?

A No.

Q I'd like to mark as Exhibit 352 --
351. I'd like to mark as Exhibit 351 an e-mail
chain. This appears to have been produced from
Mr. Gates' file.

(The document referred to was marked by
the court reporter as Government's Exhibit 351 for
identification and is attached hereto.)

Q BY MR. HOUCK: Mr. Gates, Exhibit 351
is a series of e-mails that relate to some meetings
with Netscape. And I'm -- I'm going to start my
questioning from the earliest one chronologically
which is at the back of the group of e-mails here.
So I think to save time, it might make sense for you
to look seriatim at the ones I'm going to be asking
you about.

A Seriatim?

Q Yeah. In other words, my first
questions are going to be about the e-mail dated June
1, 1995.

A June what?

Q June 1, 1995 at the back of this
package. So I'm suggesting before I ask you
questions about a particular e-mail, you review that,
and then when I come to the next e-mail, you can
review that one.

If you'd like to do them all together,
it's up to you. I'm just trying to save some time
here.

A What does seriatim mean? Serially?

Q Correct. One right after the other.

A But does it mean more than serially?

Q I'm going to ask you about one e-mail
at a time. I'll point out to you the one that I'm
going to ask you about.

A Okay.

Q And my suggestion is you'll read that
one first, and then I'll ask you about that. And
then when I turn to the next one, I'll let you know,
and you can look at that one. But if you want to
look at all of them together, you're welcome to do
that.

So if you proceed as I suggest,
seriatim or serially, whatever the case may be, what
I'm going to do is ask you first about the e-mail
that appears on what's page 100 of the document here.

MR. HEINER: Mr. Houck, one question
for you, if you know, did we produce these to you
stapled like this? Or is this a collection that --

MR. HOUCK: Actually, that's a question
I had for you. I'm going to throw it back at you

that this was produced serially, as you'll see, by the production number they're consecutive numbers. But the pages at the bottom are not consecutive, and I was going to ask you if you knew why that was, if there were some documents or pages that were a part of a group of memoranda or e-mail that was not produced to us. As you'll see, they're consecutive production numbers.

So if you could take that under advisement and let me know what the answer is, I'd appreciate it.

MR. HEINER: Okay. I certainly don't know the answer sitting here now. Which pages are we talking about? Are you talking about the Bates numbering or something else?

MR. HOUCK: Yeah. The Bates numbering is consecutive, but the page numbers applied by Microsoft at the bottom are not consecutive, so it looks like these are part of a larger document. And my question is if there are pages missing that were not produced to us.

MR. HEINER: Okay. Those page numbers just FYI are just a funny thing to see down there. I'm not sure even what those refer to, but we'll try to figure it out.

MR. HOUCK: Thank you. Okay.

Q The e-mail I want to ask you about first, Mr. Gates, is dated June 1, 1995, and the very top portion indicates that the bottom portion is being sent to you for your information by Paul Maritz, and the bottom portion is an e-mail from Thomas Reardon dated June 1, 1995, on the subject of working with Netscape.

Do you recall receiving this memorandum or e-mail?

A E-mail, no.

Q I apologize for using my old-fashioned terminology.

You don't recall receiving this e-mail particularly?

A No.

Q The e-mail states that, "Dan and Barb and I met late yesterday to review our recent discussions with Netscape and form our next few action items. Dan is meeting with Jim Barksdale, their CEO, shortly."

Do you understand the reference to Dan to be a reference to Dan Rosen?

A Probably.

Q And is the reference for Barb a reference to Barbara Fox?

A I mean, you could ask Thomas. Probably.

Q Do you have any understanding, sir?

A Based on -- I've never spoken to Thomas about this. I don't remember seeing the e-mail.

Q Do you recall speaking to anyone about the meeting referred to here between Dan Rosen and Jim Barksdale?

A No.

Q The e-mail goes on to list working goals which are:

"1. Launch STT, our electronic payment protocol. Get STT presence on the Internet.

"2. Move Netscape out of the Win32 Internet client area.

"3. Avoid cold or hot war with Netscape. Keep them from sabotaging our platform evolution."

Do you understand the reference to Win32 Internet client to be a reference to Windows 95?

A No.

Q What do you understand it to be a reference to?

A Win32.

Q Can you describe what that is?

A 32 bit Windows.

Q Is Windows 95 a 32 bit Windows product?

A It's one of them.

Q Were there any other 32 bit products in development in June of 1995?

A Certainly.

Q Which ones?

A Windows NT.

Q Do you know whether Mr. Reardon was referring to Windows NT and Windows 30 and Windows 95 or one or the other?

A Win32's a term that refers to all the 32 bit platforms.

Q And as I understand your testimony, is that the 32 bit platforms under development in June of 1995 were Windows NT and Windows 95; is that correct?

A No. Windows NT was shipping and there was a new version that was under development.

Q And Windows 95 was in development at

this time?

A Certainly.

Q In the portion of the e-mail denominated No. 2 which is, "Move Netscape out of Win32/Win95, avoid battling them in the next year," there appears the following statement in the second paragraph, quote,

"They appear to be moving fast to establish themselves in the value-add app business by leveraging Netscape itself as a platform."

Do you recall whether you agreed that that's what Netscape was doing back in June '95?

A At this time I had no sense of what Netscape was doing.

Q Okay.

The next e-mail I want to ask you about is on page 231 of the document, and it's an e-mail from Paul Maritz to various people including yourself regarding the Netscape meeting, and it's dated June 5, 1995.

A How did you find that?

MR. HEINER: You have to go surprisingly the opposite direction.

MR. NEUKOM: You have to go by Bates

numbers.

THE WITNESS: Yeah. If you just use those numbers, those numbers are sequential.

MR. BOIES: 9594.

THE WITNESS: 237? Okay.

MR. HEINER: No. Which one?

MR. HOUCK: 231. Page 231. Bates No.

594. I'll take your eminent counsel's suggestion, and refer to it by Bates number, make it a little bit easier.

Q Here Mr. Maritz reports that he did not get the impression from the meeting he had that Netscape was ready for a broad, strategic relationship.

Do you see that?

A Do you think that refers to a meeting he had? I don't think so.

Q Let me refer you to page 596, Bates No. 596.

A Okay.

Q It's e-mailed the same date. And it says,

"Attached is my summary of the meeting that Nathan, Paul and I had with Jim Barksdale of Netscape."

Do you understand the reference of Paul
to be a reference to Paul Maritz?

A Oh, maybe he is talking about a meeting
he had.

Q Do you have any recollection of
discussing Mr. Maritz's impression of this meeting
with Netscape?

A I didn't think Paul had met with
Netscape.

Q So you have no present recollection of
discussing with Mr. Maritz his views based on a
meeting he had with Mr. Barksdale in or about the
early part of June 1995?

A No.

Q Let me refer you next to a Bates No.
page 585. And this is an e-mail to you and others
from Dan Rosen regarding a Netscape meeting, and the
date of the e-mail is June 22, 1995. It's page 585
Bates number.

You got it?

A Uh-huh.

Q Do you want to look at the e-mail first
before I ask you some questions, or do you want me to
proceed?

A Go ahead.

Q Do you recall getting this particular e-mail?

A No. I recall getting this e-mail from Brad Silverberg on 584 but not this one from Dan (indicating).

Q And you have no reason to believe you didn't get it; is that correct?

A That's right. I'm still confused if it actually was enclosed in the other one or not. From the way it's printed out, it may have been. And although my name is there, I don't remember getting that one. I do remember getting this one which it may also be an enclosure to.

Q Do you understand this to be Mr. Rosen's report on the meeting he had on June 21, 1995, with Netscape executives?

A It looks like it. The thing I recall is the Reardon --

Q Right.

A What he calls his perspective that Brad sent to me.

Q Right. Did you understand that Mr. Reardon had a somewhat different perspective on the meeting than Mr. Rosen had?

A Yes.

Q Who was the senior Microsoft executive at the June 21st meeting?

A There were no senior executives at that meeting.

Q Who was the most senior of the people there?

A You would have to tell me who was at the meeting. I have no idea who was at the meeting.

Q Did you understand that Dan Rosen was at the meeting?

A Apparently from this e-mail, yes.

Q Did you understand that Tom Reardon was at the meeting?

A From his e-mail, yes.

Q Did you understand that Jim Allard was at the meeting?

A Jim who?

Q Allard.

A Jay Allard?

Q Jay Allard, yeah.

A I don't know.

Q How about Chris Jones?

A I don't know. Does one of these list who was at the meeting?

Q Let me just ask you: Do you have any

recollection as you sit here as to who you were told attended the meeting on behalf of Microsoft other than Mr. Reardon?

MR. HEINER: Can I have the question read back?

(Question read.)

MR. HEINER: Objection. Foundation.

THE WITNESS: I'm not certain what you mean, "told."

Q BY MR. HOUCK: Were you informed, Mr. Gates, who attended the meeting on behalf of Microsoft?

A I don't think so.

Q Do you have any understanding, as you sit here today, who attended that meeting on behalf of Microsoft?

A Well, the last page of the thing you gave me on 599 might relate to that. But I don't have any prior knowledge about it.

Q The e-mail from Mr. Rosen on the first page says, quote,

"Our goals going into the meeting were (in priority order):

"1. Establish Microsoft ownership of the Internet client

platform for Win95.

"2. Have Netscape add value to the NT server and Back Office platform (above our stuff), making it the preferred Internet solution.

"3. Have Netscape preferentially support Microsoft authoring tools/solutions and support our viewers.

"4. Send a message to the marketplace that Netscape and Microsoft were cooperating on Internet issues."

Do you recall discussing these goals with any of the Microsoft people who attended the 16 meeting in advance of the meeting?

A No.

Q The next page of the e-mail says,

"Chris Jones summed up the purpose nicely: 'We need to understand if you will adopt our platform and build on top of it or if you are going to compete with us on the platform level.'"

Did you understand that was a principal

purpose of Microsoft in attending this meeting with Netscape?

MR. HEINER: Objection.

THE WITNESS: No. It says in the Rosen memo the purpose of the meeting was to scope out specific areas that the relationship between the two companies might take and to set in place a process to either conclude a strategic relationship or go our separate ways.

Q BY MR. HOUCK: Do you have any present recollection as you sit here as to what the purpose of the Microsoft executives was in attending the meeting?

A Well, there were no Microsoft executives in the meeting.

Q You don't consider Mr. Rosen a Microsoft executive?

A No. Inside Microsoft -- I don't know about other companies -- but the VPs are called executives and the non-VPs are called non-executives, and there were no executives at that meeting.

Q Let me rephrase the question then.

Do you have any understanding as you sit here today as to what the purpose was of the Microsoft employees who attended the meeting with

Netscape on June 21, 1995?

A I can read to you from the stuff you've given me here.

Q I don't want you just to read, I'm asking for your present recollection if you have one. I can read the document myself.

A I don't know what you mean my present recollection.

Q As you sit here today, do you have any recollection as to what your understanding was back in June 1995 as to the principal purpose of the Microsoft employees in the meeting with Netscape?

A I wasn't involved in setting up the meeting, so I -- I can see what Reardon said here, I can see what Rosen said here. You've read something that purports to be something that Jones said. I mean --

Q As we discussed before, did you understand that Mr. Reardon and Mr. Rosen had different perspectives on the meeting?

A Well, I -- I got some e-mail from Brad Silverberg after the meeting that showed that Reardon seemed to have a more realistic view of what was going on.

Q Did you share his view?

MR. HEINER: Objection.

THE WITNESS: I had no view whatsoever.

Q BY MR. HOUCK: When you said Reardon had a more realistic view of the meeting, can you explain what you meant?

A Well, Reardon's mail says,

"Maybe I am being a dick,

but there is no deal here. If we are smart and deft and engaged at the right levels, we have a chance to cooperate on a few of these smaller things."

So usually the -- if you have two people that go to a meeting and one comes back and says "Looks great," and the other comes back and says "It doesn't look good," my business experience is the person who says that it doesn't look good is probably the one who has the most accurate view of the meeting, particularly when you're dealing with Thomas Reardon and Dan Rosen.

Q So you thought that Reardon's view of how the meeting went was likelier the more accurate one?

A In the sense that it didn't look like much would come out of it, yes.

Q Okay.

Do you recall, as you sit here today apart from just reading these e-mails, anything that was reported back to you by any of the participants from Microsoft at this June 21st meeting?

A Well, I think somewhere about this time somebody said to me that -- asked if it made sense for us to consider investing in Netscape. And I said that that didn't make sense to me, I didn't see that as something that made sense.

Q Do you recall who said that to you?

A It would have been probably suggested in a piece of e-mail from Dan, I think.

Q Do you recall when you got that suggestion, whether it was before or after the meeting?

A Oh, it would have been after the meeting.

Q Do you recall anything else that anyone told you back in June '95 about the meeting?

A No.

Q Did you personally devote time, Mr. Gates, to studying Netscape and trying to determine what their sources of revenue were?

A In what time frame are we talking

about?

Q Well, do you recall doing that at all?

A I personally didn't make any study of it. But I know that in late '95 when we reviewed a bunch of different competitors, one of those was Netscape, and there was some revenue analysis done as part of that.

Q Do you recall an employee at Microsoft by the name of Amar Nehru?

A I know Amar.

Q Did he work for you directly?

A Never.

Q Who did he work for?

A He's at least five levels below me, and I have no idea who he works for.

Q Do you recall that he worked for Mr. Chase?

A I'm certain that he did not.

Q Let me mark as exhibit --

A Are you talking -- what's the last name of Amar?

Q It's Amar Nehru.

A Yeah. He did not.

Q N-e-h-r-u.

Mark as Exhibit 352 an e-mail from

Mr. Gates to Amar Nehru.

(The document referred to was marked by the court reporter as Government's Exhibit 352 for identification and is attached hereto.)

MR. HOUCK: I think I marked the wrong document, but we'll probably get that at some point. I apologize. So let me mark as the next exhibit, Exhibit 353 -- strike what I said, I think we do have the right document, and I apologize for the confusion.

Okay. I gave you the wrong document.

Let me mark as Exhibit 353 the December 1, 1996 e-mail. I apologize once more.

THE WITNESS: December 1, 1996?

MR. HOUCK: Yeah.

THE WITNESS: Oh, is this something I haven't seen?

MR. HOUCK: Yes. And I apologize.

There were a couple of e-mails from Mr. Nehru -- or to Mr. Nehru, I gave you the wrong one, I don't want to ask you about that one right now. So what I want to ask you about is Exhibit 353, and this is a December 1, 1996 e-mail from you to Mr. Nehru.

(The document referred to was marked by the court reporter as Government's Exhibit 353 for

identification and is attached hereto.)

Q BY MR. HOUCK: Do you recall asking Mr. Nehru in or about December 1996 to collect for you information about Netscape revenues?

A No.

Q Do you recall sending this e-mail on or about December 1, 1996 to Mr. Nehru?

A No.

Q Okay.

Do you recall receiving from Mr. Nehru the attached e-mail dated November 27, 1996?

A From time to time we do reviews of various competitors, and at least one point in time Netscape was one of the people that we looked at. So it doesn't surprise me, but I don't remember it specifically.

Q On the second page of the exhibit, which is part of Mr. Nehru's November 27, 1996 e-mail, he talks about browsers.

A What page?

Q Page 2.

A Okay.

Q He identifies there sources of Netscape's revenue. He says, "Browser revenue for the

quarter amounted to \$45 million (a 32 percent increase over the last quarter) representing 60 percent of total Netscape revenue."

Do you have any reason to doubt the accuracy of the information reported there?

A Well, I know that Mr. Nehru didn't work for Netscape, so I'm sure he didn't have access to the figures directly. If you're interested in that, you should ask Netscape.

Q Was this the best information you had in December of 1996 as to the proportion of Netscape's revenue that was derived from browsers?

A I don't know.

Q Do you recall receiving any other information than this on that subject?

A I might have seen an analyst report. It says here we're 70 percent confident about our numbers.

Q Do you recall why it was in this time frame you had asked Mr. Nehru to collect this information for you?

A I don't think I did. I already told you that.

Q You have no recollection of asking him

for this information?

A I'm quite certain I wasn't the one who asked for the information.

Q Do you have any recollection as to who did?

A Perhaps Steve.

Q Steve, you mean Steve Ballmer?

A Uh-huh.

Q In your memo here -- strike that.

In your e-mail here you say, "What kind of data do we have about how much software companies pay Netscape?"

Do you recall asking that question to

Mr. Nehru in or about December 1996?

A It looks like I sent him that question after he sent out one of these competitive analysis reports.

Q Do you recall -- strike that.

Do you have any reason to believe you didn't ask him for this information on December 1, 1996?

A Now, wait a minute. Now, you're confusing two things. There's the information here enclosed which I didn't ask him for.

Q I understand.

A And that's what you've been asking me about earlier.

Q No, sir.

A Then there's the question here in my e-mail, I have no idea if he ever responded to that, but that question certainly looks like it came from me. But that's different than --

Q I understand. I'm not confused.

A Okay.

Q Let me straighten the record out here.

Your testimony, as I understand it, is you believe that in all likelihood the information initially collected by Mr. Nehru was sought by Mr. Ballmer; is that right?

A I know it wasn't -- I'm pretty sure it wasn't me who asked for it.

Q Correct. And then you got this e-mail from Mr. Nehru and you in turn asked him what kind of data do we have about how much software companies pay Netscape; is that right?

A That's part of the e-mail I sent to him it looks like, yes.

Q Okay.

The -- Exhibit 353, in particular

Mr. Nehru's memo, says his conclusion was of the \$45

million in revenue obtained that quarter by Netscape as a result of the browsers ISPs commanded the largest share at 40 percent of browser revenue.

Did you have any reason to doubt the accuracy of that information obtained by Mr. Nehru?

A Well, I'll say two things about that:

First of all, he's not including the prime -- when he gives that number he's not including the primary browser revenue source which is what was called service revenues in this report; that is, taking the ad space in the browser, which is proven to be the biggest source of revenue and a significant source of revenue for browsers, he's not including that in. So that would be a rather significant change.

Also, although I haven't had a chance to read his entire e-mail, it says that his confidence in these numbers is about what he says 70 percent.

So clearly, there are people at Netscape who would be 100 percent sure about the numbers.

Q Do you know what, if any, service revenue Netscape was earning from its browsers in or about the first quarter of 1996?

A No, I don't.

Q Was Microsoft earning any service revenue on its browsers the first quarter of 1996?

A In the first quarter of 1996? No.

That developed into a large business subsequently in our case.

Q Do you know whether Netscape was any different or not?

A Well, it's a measurable business for them. You can just read what I say in the mail.

Q Do you know how that source of revenue -- strike that.

Why don't we just take a very short break.

MR. HEINER: Okay.

THE VIDEOGRAPHER: The time is 1:32.

We're going off the record.

(Recess.)

THE VIDEOGRAPHER: The time is 1:47.

We're going back on the record.

MR. HEINER: During the break I checked with our people who do document productions about Exhibit 351 and asked them what these page numbers are at the bottom of the pages. And they said that we found these documents instead of archives so we

went back and searched in connection with the current case. So these were documents that were actually printed out back for some other case, presumably in 1995 or something like that.

And when we printed the documents they would just page number every single page.

So the documents -- and then we produced the responsive documents. So pages -- whatever pages are missing here are e-mail about any subject under the sun.

And then that also tells you that whether or not we produced these stapled, they probably shouldn't be stapled. It's really individual e-mail strings.

MR. HOUCK: Okay.

MR. HEINER: For what it's worth.

MR. HOUCK: I would like to mark as Exhibit 354 an e-mail from Mr. Gates to various people dated May 19, 1996, on the -- and the subject is "Some thoughts on Netscape."

(The document referred to was marked by the court reporter as Government's Exhibit 354 for identification and is attached hereto.)

Q BY MR. HOUCK: Is Exhibit 354 a memorandum you prepared on or about May 1996?

A It looks like it is. I don't have a specific recollection.

Q On the second page under the heading "Netscape" you say,

"During this Thinkweek I had a chance to play with a number of Netscape products. This reenforced the impression that I think all of us share that Netscape is quite an impressive competitor."

Do you recall what it was that led you to the conclusion that Netscape was an impressive competitor?

A I think the memo speaks for itself in terms of outlining that.

Q Did you come to believe that their products would be popular with consumers?

A That's a very vague question.

Q Can you answer it or not?

A In its current vague form? No.

Q Did you come to the conclusion that Netscape had high quality products in or about this time frame?

A Not all of their products but some of them.

Q Which products did you believe were of high quality?

A Well, the memo gets into that. I'm glad to read it.

Q Do you have any additional recollection as you sit here apart from just reading the memorandum?

A No.

Q Was it your understanding that in or about this time frame Netscape sought to generate revenue by charging money for its browser?

A That's kind of a complex area because, in fact, they didn't really charge people for the browser. If you wanted to just download it and use it, they never followed up and charged anyone.

So as I show in the memo, one of the -- when it's under "Their price," I show "Free."

Q You also show \$49; correct?

A Yeah. It says "\$49 & free." 49 was the nominal price which no one had any reason to pay at all.

Q Did you understand from Mr. Nehru and/or other people at Microsoft that, in fact, Netscape was generating revenue by sales of its browser?

A Nothing significant, I think, came out of that \$49 offering. They had a retail value at an offering at a different price, and they had some corporate licensing. But in terms of the \$49, I don't know of any data that I had that would suggest that that was something people were paying.

Q Do you have any recollection at all as you sit here today of receiving any data that indicated how much revenue Netscape was generating through sales of its browser at a \$49 price?

A Well, I know they were getting revenue from the Search button and the Home Page hits essentially advertising fees. And I had seen some data about that.

Q Did you see any data at all with respect to how much money was being generated by sales of the browser?

A I just said I saw some data about revenue they got from essentially the advertising sales.

Q Right.

Do you recall seeing any data with respect to revenue generated from sales of the browser itself?

MR. HEINER: Is this any particular

time, any particular channel?

MR. HOUCK: In or about this time period, which is May of 1996.

MR. HEINER: And is the question about the \$49 retail offering?

MR. HOUCK: Correct.

THE WITNESS: I don't think that \$49 retail offering is very popular. The particular memo that you've got in front of me here is -- doesn't relate much to that. It's talking more about the different products and Microsoft plans to have better products.

MR. HOUCK: Move to strike that answer as nonresponsive.

Q As you sit here today, Mr. Gates, do you have any recollection of receiving data that purported to show how much, if any, revenue was being generated by Netscape through sales of its web browser at retail?

A The \$49 product?

Q Can you answer the question?

MR. HEINER: Asked and answered.

THE WITNESS: Which SKU?

MR. HOUCK: The \$49 product.

THE WITNESS: I don't remember any

specific data. But as to that SKU, I'm -- I don't think their sales were ever significant.

Q BY MR. HOUCK: The next -- strike that.

On Bates No. page 954 appears the heading "Browser War."

Do you see that?

A Uh-huh.

Q What did you mean by your use of that phrase?

A I think somebody -- I wasn't the one who created that phrase. I think it was a phrase that some people had used to refer to the competition in the browser space including that between us as the provider of Windows and Netscape with Navigator.

Q Under the heading of your memo entitled "Browser War" appears the following statement:

"If we continue to have minimal share in browsers, a lot of our other efforts will be futile."

Do you recall what other efforts you had in mind there?

A Well, for example, our desire to get advertising revenue from the Search button and the Home Page in the browser.

Q Do you recall anything else you had in

mind?

A I don't know if Blackbird had been canceled by this point or not. But since it was a superset browser, it would have fit that category.

Q Anything else?

A Well, MSN, our online service, because of its dependency on the Blackbird technology.

Q Do you recall any other efforts that you had in mind here?

A No.

Q You go on to say, quote, "By the end of the year we have got to get more than 25 percent share so we are taken seriously," close quote.

Do you recall why you came to that conclusion?

A I don't remember what I was thinking at the time I wrote the memo.

Q Do you recall who you had in mind as taking you seriously?

A At the time I wrote the memo?

Q Yes.

A No I don't recall.

Q That paragraph concludes with your

statement as follows, quote,

"I'm very excited that we are going to incent OEMs to focus their efforts around IE."

IE is a reference, I take it, is a reference to Internet Explorer; is that correct?

A It looks like it's referring to IE3 there.

Q Do you recall what it was you were going to do to incent OEMs to focus their efforts around Internet Explorer 3.0?

A We did something where we encouraged them to pick up the Windows Update that included the improvements in the IE technology that took us from IE2 which had been included, of course, in Windows for quite some time.

We -- in the normal course, it takes OEMs six to nine months before they get updates widely available. And I think there was a plan to incent them to update their Windows bits on their machines more rapidly than normal so that users would have a chance to get IE3 on the machine instead of IE2, which although it had been a part of Windows, had not received measurable market share.

Q Your memo concludes with the following

statement:

"At some point financial minded analysts will begin to consider how much of a revenue stream Netscape will be able to generate." Do you recall what your thinking was in noting this to the other recipients of the memo? A Well, this memo, if you look at it, is not really about financial issues at all. It's about the good work we're doing in various software categories relative to some of the work that Netscape's doing. And I wouldn't call it a conclusion, but there's a paragraph there in the end that talks about Netscape revenue. I don't have any recollection about what I was thinking when I wrote that paragraph at this point.

Q Of what significance was it to you what financial analysts concluded about Netscape's revenue stream?

A Netscape was a competitor of ours and we actually pay attention to our competitors' revenue since it's a measure of the popularity of their products and we can compare how we're doing in customer popularity with how they're doing sometimes

by looking at revenue. Sometimes that doesn't work. But it's -- I think it's -- it's typical to know what -- what our revenue is.

Q Do you generally make public comments about the financial health or welfare of Microsoft's competitors?

A I'm often asked about various companies, and I respond to questions. But I've never given a presentation that had that focus.

Q Do you recall making public statements in mid-1996 calling into question Netscape's financial viability?

A I may have been asked questions about that by the press, but I didn't go out and make any speeches or statements about it.

Q I'd like to mark as Exhibit 355 a copy of an article that appears in The Financial Times of London dated July 3, 1996.

(The document referred to was marked by the court reporter as Government's Exhibit 355 for identification and is attached hereto.)

Q BY MR. HOUCK: The next to the last page of Exhibit 356 appears the following quote, "Our business model works even if Internet software is free,"

says Mr. Gates. 'We are still selling operating systems.' Netscape, in contrast, is dependent upon its Internet software for profits, he points out."

Do you recall making statements to this effect to The London Financial Times in or about July 1996?

A I'm quite sure I didn't make a statement. I think I was interviewed by Louise Kehoe where she kept saying to me how various people were predicting, including Netscape, that we would go out of business because of the Internet and that we were doomed because of the Internet.

Q Do you recall in or about July 1996 providing the information attributed to you here to the reporter for The London Financial Times?

A I don't know what you mean "providing the information."

Louise Kehoe is a reporter. She interviewed me about this time with the proposition that we were on our way out of business. And I said to her, "If we didn't do a good job for our customers in terms of what they wanted, that would be the case,

but that we thought we could do -- do good work around the new scenarios that customers were interested in."

MR. BOIES: Move to strike the answer as nonresponsive.

Q BY MR. HOUCK: Do you recall, Mr. Gates, giving the quotation imputed to you here to Ms. Kehoe?

A Well, the best -- I don't recall this specific interview. It would be valuable to understand what her questions were and what the sequence of questions were. She probably has a tape of that that you could get.

Q Do you have any reason to believe that she has inaccurately quoted you here in her article?

A I know it was an interview where the basic supposition was that Netscape and others were going to put us out of business. That much I recall. But in terms of the specific quote, I'm not sure.

Q When you say you're not sure, do you mean -- strike that.

Do you have any reason, as you sit here today, to believe that this statement attributed to you is improperly reported by Ms. Kehoe?

A I think if you want to understand what

I said in the interview with her, you should get the transcript of it and understand what series of questions -- what the context was for anything that I said.

Q Sir, do you deny making the statement attributed to you here?

A I think it was in the context of some fairly aggressive questions about was my company going to go out of business in the near future. And I think it's -- it's valuable to know that context whenever you look at an answer somebody gives to a question.

Q Well, can you answer my question "yes" or "no"?

Read the question back to him, please.

(The following question was read:

"Q Sir, do you deny making the statement attributed to you here?")

THE WITNESS: I'm not denying making the statement, but I am pointing out that I didn't just make a statement. I was in an interview with a reporter, and it would be valuable to understand her questions. And I do recall the general tenure of

those questions. And so if your interest is understanding the quote, understanding that context is, I think, quite valuable.

Q You understood, did you not, Mr. Gates, that people interested in the computer business followed very carefully what it was you said about the future of the business?

A That's quite a vague question.

Q You've appeared on covers of various magazines; correct?

A My picture has.

Q Right. And is it not your understanding that many newspaper reporters and financial analysts are very interested in getting your views on future developments in the computer business?

A I've never done anything that would give me any measurement of that.

Q You have no understanding whatsoever?

A I know I've been interviewed a lot of times. I mean, when you say "popularity," help me understand what sort of answer you want. Do you want a number?

Q You just answered when you made statements like this about Netscape that had the

potential to affect Netscape's stock price?

A I've told you several times that I object to your using the word "statement" to refer to the interview.

Q When you gave quotations like this to financial analysts and reporters, you understood, did you not, that statements like this could have a negative impact on Netscape's stock price?

A I participated in an interview with Louise Kehoe, and I explained why her basic proposition that we were going -- going to go out of business soon wasn't necessarily the case. And so the focus of the interview was certainly on Microsoft and our future, our lack of a future. She's not a financial analyst, she's a reporter.

Q Okay. Move to strike.

Would you read the question to him again. And I'll ask you if you could answer the question, Mr. Gates.

(The following question was read:

"When you gave quotations like this to financial analysts and reporters, you understood, did you not, that statements like this could

have a negative impact on Netscape's stock price?")

THE WITNESS: I don't know what you mean "quotations like this."

Q BY MR. HOUCK: When you gave this particular quotation to Ms. Kehoe, did you consider that it might have a negative impact on Netscape's stock price?

A It certainly was not in any way a consideration of my defending Microsoft in this particular interview.

Q Did you understand, sir, that application vendors would be less likely to write applications for a browser marketed by a company that did not have long-term prospect for financial viability?

A I've been quoted many times as talking about Netscape as a company that has a good future. And, you know, I'm -- when I've been directly asked about that, I've said that they're in an exciting field and have lots of opportunity.

MR. HOUCK: Move to strike the answer as nonresponsive.

Q Do you recall any other statements -- strike the word "statements" since you don't like it.

Do you recall any other quotations attributed to you, Mr. Gates, in the press with respect to your views of Netscape's financial viability?

A Well, I was at MIT and -- meeting with the W3C people, and I spoke in front of some students. And a student asked what would I think about him going and taking a job at Netscape. And I said I thought that would be an interesting thing and that Netscape had a lot of opportunities, and I subsequently saw that quoted in the press. So I remember that as one example.

Q Anything else?

A I don't recall any other specific times when I was questioned about Netscape.

Q Do you recall making statements to the press to the effect that Microsoft did not need to make any revenue from its Internet software to be successful as a company?

A Well, I don't know what you mean -- you see, that's the -- I'm not sure what you mean by "Internet software." What of our products? Could you designate for me which ones you mean as being Internet software?

Q I'm going to get marked as Exhibit

357 -- 356. I'm going to have marked as Exhibit 356 a copy of a story from the Business Week dated July 15, 1996.

(The document referred to was marked by the court reporter as Government's Exhibit 356 for identification and is attached hereto.)

Q BY MR. HOUCK: Exhibit 356 on the second page contains the following statement, quote -- which is attributed to you, "One thing to remember about Microsoft," says Chairman William H. Gates III, "We don't need to make any revenue from Internet software."

Can you tell me what you had in mind there when you referred to Internet software?

MR. HEINER: Objection. Foundation.

THE WITNESS: So what was the question?

MR. HOUCK: Well, let me withdraw the question and ask you.

Q Do you have any reason to doubt that you made a statement to this effect to a Business Week reporter?

A I'm pretty sure I wasn't interviewed by Business Week for this article, so I think it's an

indirect quote of some kind.

Q Do you recall publicly stating that one thing to remember about Microsoft was that it didn't need to make any revenue from Internet software?

A As I told you earlier, I never commented on Netscape or their prospects in a speech or a statement. The only time where that ever came up, I'm quite sure, is when reporters would push on the fact that maybe Microsoft was about to be put out of business by the Internet and various things going on relative to the Internet. So there -- I mean, there was no statement like that. There may have been an answer along those lines, but I don't think I can recall specifically.

Q Do you have any reason to doubt that the quotation attributed to you is accurate?

A No. I think there's something strange because I'm pretty sure I wasn't interviewed for this article. I've never been interviewed by Robert Hof who is the author, and I think I'd remember if I had been interviewed for this article.

Q Did you believe that the Internet threatened to put Microsoft out of business?

A There were a lot of things, including the move to the Internet, that if Microsoft doesn't

do a lot of innovative work means that our revenue will drop to zero.

Q Did you ever come to the point where you seriously reached the conclusion that Microsoft's -- Microsoft was likely to be put out of business by the Internet?

A Our risk of being put out of business has been a constant feeling for me ever since we've been in business.

Q The Business Week article that we've been looking at says that:

"Microsoft's expected fiscal 1996 sales were on the order of \$8.6 billion with \$2 billion in aftertax profits."

Is that approximately correct?

A I'm not sure. There's a lot of ways to get those figures.

Q Do you have any understanding what Microsoft's 1996 revenues were?

A No.

Q Do you have any estimate, as you sit here today, as to what Microsoft's aftertax profits were in 1996?

A No.

Q Were they on the order of \$2 billion approximately?

A I told you I don't know.

Q You have no way of estimating what they were -- strike the question.

What's your best estimate of what the -- Microsoft's aftertax profits were in fiscal year 1996?

A I don't think it's good to guess because it would be very easy to go get the real figure.

Q And you'd have to guess; is that right?

A If you don't let me get the real figure, then I would have to guess. But if you give me a few minutes I can go get the real figure. So if you're at all interested in the facts, just give me a few minutes.

Q I am. So go ahead, go get it.

A Okay.

MR. HEINER: Take a break.

THE VIDEOGRAPHER: The time is 2:23.

We're going off the record. This is the end of Tape 2 of the deposition of Bill Gates:

(Recess.)

THE VIDEOGRAPHER: The time is 2:32.

We're going back on the record. This is Tape 3 of the videotaped deposition of Bill Gates.

Q BY MR. HOUCK: Mr. Gates, were you able to obtain the information you were looking for?

A Yeah. It looks like the numbers given in the Business Week article, the sales and profit numbers are accurate.

Q We've seen a number of references in documents we've looked at to browser share. And you've been quoted as saying, "We wake up in the morning thinking browser share."

Do you recall that quotation?

A No.

Q I'd like to have marked as Exhibit 357 an article from PC Magazine Online dated March 13, 1996.

(The document referred to was marked by the court reporter as Government's Exhibit 357 for identification and is attached hereto.)

Q BY MR. HOUCK: Exhibit 357, Mr. Gates, is a report on a keynote speech you gave at the San Francisco Microsoft Developers Conference.

Do you recall giving a speech in that conference?

A Yeah. I spoke there.

Q It quotes you as saying, "We wake in the morning thinking browser share."

Do you recall saying that?

A It's reasonably illiterate. I'd have to look at the transcript. It's not typical for me to be illiterate.

Q Do you deny making the statement attributed to you here, Mr. Gates?

A It's very possible I made a statement to this effect in a more literate form, but the transcript's available.

Q Isn't it a fact that winning a browser share was a very important goal for Microsoft in 1996?

A We were measuring web usage share to see how popular browser was. And we had -- one of our goals was to increase that.

MR. HOUCK: I'd like to mark as Exhibit 358 an e-mail from Mr. Gates to Joachim Kempin dated January 5, 1996.

(The document referred to was marked by the court reporter as Government's Exhibit 358 for identification and is attached hereto.)

Q BY MR. HOUCK: Do you recall writing this e-mail, Mr. Gates, on or about January 5, 1996?

A No.

Q Do you have any reason to doubt you wrote it?

A No.

Q First sentence says, quote, "Winning Internet browser share is a very important goal to us," close quote.

Why did you believe that to be the case in January of 1996?

A Are you asking me to reconstruct my state of mind on January 5th?

Q Do you recall why it was, Mr. Gates, that in the beginning of 1996 you came to believe that winning Internet browser share was a very important goal for Microsoft?

A I can't say for sure what I was thinking at the time, but I can explain to you why it makes sense to me that I would have written this mail.

Q Am I correct that you have no present recollection of what it was specifically that led you to this conclusion back in January, 1996?

A I don't remember my exact thinking in January 1996.

Q Okay.

A I can explain my general recollection of that time period, but I can't reconstruct what I was thinking when I wrote the mail.

Q What is your general recollection of the time period?

A We thought that people -- the usage of the Internet was increasing, and it was important for us to build a browser with better features including integration that would be attractive enough that people would choose to use it.

Q Who was Microsoft's principal competitor for browser share in January of 1996?

A I think at that stage Netscape had 80 to 90 percent usage share which is a particular way of measuring browser hits.

Q Is it your understanding that the percentage of the PC system price attributable to the operating system has risen in recent years?

MR. HEINER: Objection. Vague and ambiguous.

THE WITNESS: I'm not sure which of our products you're asking me about.

Q BY MR. HOUCK: Have you seen any studies at Microsoft comparing the trend of pricing with respect to PC systems to the price Microsoft

charges for its operating system products?

A No. I've seen a comparison of our operating system prices with other people's operating system prices.

Q I'd like to mark as Exhibit 359 a chart entitled "PC Value Analysis" dated March 4, 1996.

(The document referred to was marked by the court reporter as Government's Exhibit 359 for identification and is attached hereto.)

Q BY MR. HOUCK: Do you recall seeing Exhibit 359 before, Mr. Gates?

A No. I'm pretty sure I haven't seen it.

Q Do you know by whom at Microsoft it was prepared?

A No. When I haven't seen something it's very rare for me to know who prepared it.

Q Let me mark as Exhibit 360 an e-mail from Mr. Kempin to yourself, Mr. Gates, dated December 16, 1997.

(The document referred to was marked by the court reporter as Government's Exhibit 360 for identification and is attached hereto.)

Q BY MR. HOUCK: Do you recall receiving Exhibit 360 from Mr. Kempin?

A No.

Q What was Mr. Kempin's position in December of 1997?

A He was in charge of our relationship with hardware manufacturers.

Q By "hardware manufacturers" you mean OEMs?

A That's a shorthand term.

Q This e-mail says, "feedback appreciated."

I take it you don't recall whether or not you gave him any feedback?

A No.

Q From time to time does Microsoft do surveys of people known as web professionals?

A I don't know.

Q I'd like to mark as Exhibit 361 -- I'd like to mark as Exhibit 361 an e-mail from Brad Chase to Bill Gates, Paul Maritz and Steve Ballmer dated September 8, 1997.

(The document referred to was marked by the court reporter as Government Exhibit 361 for identification and is attached hereto.)

Q BY MR. HOUCK: Does Exhibit 361 refresh your recollection that Microsoft from time to time conducts surveys of web professionals?

A Do you want me to read this thing?

Q Just answer my question, if you can.

You don't have to read the whole thing to answer my question, and I'll point you to one particular page that I want to ask you about.

A I haven't seen the document before, but it appears to be a specific case where some information is gathered about what the document seems to call web professionals. I don't know what they mean by that term.

Q That wasn't my question.

You have no understanding of what's meant by "web professionals," sir?

A In the context of this document I don't. I can give you many possible definitions for the term.

Q Okay.

Do you have any understanding as to the type of web professionals that were surveyed here?

A If I studied the document, I could learn something about that. I haven't read it.

Q Do you have any reason to believe this document was not sent to you on or about September 8, 1997?

A No.

Q Okay.

Do you recall receiving information in or about April 1997 that many users did not want to have a browser integrated into the operating system?

A No.

Q I'd like to mark as Exhibit 362 --

MR. HEINER: That's the way to do it.

Don't even hazard a guess.

MR. HOUCK: I'd like to mark as Exhibit 362 an April 25, 1997 e-mail or memo from Randy Trower to Chris Jones, Joe Belfiore and others including Mr. Gates?

THE WITNESS: That's Tandy.

MR. HOUCK: Tandy Trower. I'm sorry, I misspoke.

(The document referred to was marked by the court reporter as Government's Exhibit 362 for identification and is attached hereto.)

Q BY MR. HOUCK: Who's Tandy Trower?

A That's hard to answer. He's an employee of Microsoft who often looks at user interface issues and a number of job roles he's had over the years.

Q Back on -- strike that.

Do you recall receiving this

memorandum?

A I think I do.

Q Back on Bates stamp page 130 under the heading "Desktop/Web Integration."

A Yep.

Q The memo states:

"The concept of unifying the user's desktop and web experience sounds good and reasonable, but it's not clear that this is what users want and certainly is not what they expect."

Do you know the basis of the statement made here?

A He's talking about how to refine the Desktop/Win integration.

It says we need to do a better job.

And then he talks about how to do the integration and what he thinks is a different, better way.

Q Do you know the source of the information he reports here to you?

A I'm sorry?

Q Do you know what the source of his information was that he's reporting to you here?

A No.

Q He says in the next line, quote,
"Many users expect to just
get browser improvements with IE4,
and I've heard many a remark from
users that they don't want to view
their folders to look like web
pages."

Do you know where he obtained that
information?

A No.

Q Would you agree that it's fair to
describe Windows 98 as not a vital upgrade for PC
users?

MR. HEINER: Objection.

THE WITNESS: I'm not sure what you
mean by "vital." I mean, it --

Q BY MR. HOUCK: I'd like to mark as
Exhibit 363 an e-mail from Brad Chase to Walt
Mossberg and Mr. Gates dated May 15, 1998. The last
portion of this document, Mr. Gates, purports to be
an e-mail from yourself to Mr. Mossberg of the Wall
Street Journal where you say -- referring to Windows
98 -- "You are right that it is not a vital upgrade."
Do you see that?

A I see the paragraph there.

Q Do you recall sending this e-mail to Mr. Mossberg of The Wall Street Journal?

A It looks like the e-mail I sent him.
(The document referred to was marked by the court reporter as Government's Exhibit 363 for identification and is attached hereto.)

MR. HOUCK: At this time I'm going to turn the examination over to Mr. Boies. Why don't we go off the record while we change places.

THE VIDEOGRAPHER: The time is 2:52.
We're going off the record.
(Off the record.)

THE VIDEOGRAPHER: The time is 2:54.
We're going back on the record.

EXAMINATION

BY MR. BOIES:

Q Good afternoon, Mr. Gates.
I'd like to begin by following up with Exhibit 356 and Exhibit 355 that I think you have in front of you.

First, with respect to Exhibit 356, which is a 1996 Business Week article. I understand your testimony to be that you do not recall giving an

interview to the reporter who wrote this. But do you recall saying the statement attributed to you, whether you said it to that reporter or to someone else? And the statement I'm referring to is the statement at the end of the article in which you are quoted as saying:

"'One thing to remember about Microsoft,' says Chairman William H. Gates III, 'We do not need to make any revenue from Internet software.'"

A I don't remember saying that.

Q Did you say it, sir?

MR. HEINER: Objection. Asked and answered.

THE WITNESS: I don't remember saying it.

Q BY MR. BOIES: That wasn't my question, sir.

Did you say it?

MR. HEINER: Objection. Harassing the witness.

MR. BOIES: I'm not harassing the witness. I want to know whether he had a recollection of -- he may not know whether he said

it, he may think he didn't say it. I'm trying to clarify what the witness's testimony is.

MR. HEINER: Can I have the first of those two questions of those read back?

(The following record was read:

"Q First, with respect to Exhibit 356, which is a 1996 Business Week article. I understand your testimony to be that you do not recall giving an interview to the reporter who wrote this. But do you recall saying the statement attributed to you, whether you said it to that reporter or to someone else? And the statement I'm referring to is the statement at the end of the article in which you are quoted as saying,

"'One thing to remember about Microsoft,' says Chairman William H. Gates III, 'We do not need to make any revenue from Internet software.'

"A I don't remember saying that.

"Q Did you say it, sir?

"MR. HEINER: Objection.

Asked and answered.

"THE WITNESS: I don't
remember saying it.")

MR. HEINER: The witness doesn't
remember saying it.

Q BY MR. BOIES: Do you doubt that you
said it, sir?

A Same answer.

Q Well, my question, sir, is whether you
doubt it. And I'd like the best answer you can give
to me on that question, whether you doubt saying
this. I understand --

A Given that I don't have a recollection
of saying it, you're sort of asking me to make some
kind of a guess.

Q Move to strike the answer as
nonresponsive.

A And I have --

MR. HEINER: There's likely to be
testimony during the rest of the afternoon that you
may not like from time to time. You'll probably have
to accept that as part of the examination.

MR. BOIES: Absolutely. And if it's

responsive, it will be his testimony. But if it is not responsive, I intend to preserve the record and move to strike it as nonresponsive.

MR. HEINER: And you should continue to answer the questions as best you can responding to the questions posed.

Q BY MR. BOIES: Do you have any reason to believe that Business Week would make this quote up, sir?

A They had made mistakes, but I'm not suggesting that I know that they did in this case.

Q Do you recall saying publicly the substance of what is attributed to you here? Perhaps not the words but the substance of, "One thing to remember about Microsoft, we don't need to make any revenue from Internet software"?

A I feel quite sure I never gave a speech or made a statement along those lines. I may have, in response to reporters suggesting that Microsoft was on the verge of doom, talked about the fact that we were doing a lot of work and that we thought we had a good opportunity on the Internet.

Q Now, at the time that, according to you, reporters were suggesting that Microsoft was on the edge of doom, Microsoft had profits of over \$2

billion dollars in aftertax profits; is that correct?

A Well, I think it mischaracterizes what I said completely to say that I'm just suggesting it. That's really quite a misstatement.

MR. BOIES: Could I have the question reread and the answer reread?

(The following record was read:

"Q Now, at the time that, according to you, reporters were suggesting that Microsoft was on the edge of doom, Microsoft had profits of over \$2 billion dollars in aftertax profits; is that correct?

"A Well, I think it mischaracterizes what I said completely to say that I'm just suggesting it. That's really quite a misstatement."

Q BY MR. BOIES: Having heard the question, do you want to change your answer?

A I'll add to it if you want.

Q No. Do you want to change your answer?

A I'll be glad to add to it.

Q My question, sir, is: Do you want to change your answer? You can say "yes" or "no."

A I don't see any reason to change it.

I'll be glad to add to it.

Q Were reporters suggesting to you in 1996 that Microsoft was on the edge of doom, as you have used that phrase?

A Many reporters suggested that, yes.

Q And in 1996 what were Microsoft's revenues compared to Netscape's revenues?

A I don't know Netscape's revenues.

Q Approximately, sir?

A Approximately what?

Q Approximately what were Netscape's revenues compared to Microsoft's revenues?

A You want me to guess at Netscape's revenues?

Q I want you to give me your best judgment and estimate as a chairman and CEO of Microsoft, sir. If you call it guessing, you can call it whatever you want. What I want is your best estimate under oath as you sit here.

A I know that Microsoft's revenues would be dramatically higher than Netscape's, but I -- I really won't want to hazard a guess at Netscape's revenue in particular.

Q As you sit here now, can you give me

any estimate or range at all of what Netscape's revenues were in 1996?

A Zero to 200 million.

Q As you sit here now, can you tell me any estimate or range of what Netscape's revenues are today?

A I think zero to 500 million.

Q Can you be any more specific than that; that is, can you narrow the range at all?

A Yeah. 200 million to 500 million.

Q Can you narrow the 1996 range at all?

The 1996 range you gave me was zero to 200 million.

A 30 million to 200 million.

Q Is that the best you can do as you sit here now?

A Well, the chance of my being wrong goes up as I narrow the range.

Q You've given me the very best estimate that you can? That's your testimony?

A Well, it's all about probability. I think it's highly probable that their revenue fell into the range I gave you.

Q Did you make any effort in 1996 to find out what Netscape's revenues actually were?

A Personally?

Q Either personally or through some of the many employees of Microsoft?

A Oh, I'm sure there were people at Microsoft who looked at Netscape's revenues during that year.

Q Did they communicate with you as to what those revenues were at all?

A Among the thousands and thousands of e-mail messages I get, I'm sure there were some that had for certain periods of time information about that.

Q Did you request any information concerning Netscape's revenues in 1996?

A I'm sure I was in meetings where the information was presented, but I don't think I was the one who specifically asked for the presentation.

Q Whether you specifically asked for a presentation in a meeting or not, did you ask people to provide you with information concerning Netscape's revenues in 1996?

A I may have asked some questions about their revenue.

Q Do you recall doing that, sir?

A No.

Q Did you receive any answers to your

questions about Netscape's revenues?

A Although I don't specifically recall it, I'm sure that in most cases I did.

Q It would be usual within Microsoft that if you asked a question, you would receive an answer; is that fair, sir?

A No. There's no -- there's lots of questions I ask I don't get answers to. But well over 50 percent I do.

Q When you say that there are lots of questions that you ask people of Microsoft that you don't get answers to, do you mean you don't get any answer at all, they just ignore it?

A That happens.

Q Does it happen from people with a sustained career within your company, sir?

A If they're busy enough on priorities that I set for them, then yes.

Q You're the chief executive officer of Microsoft.

Does Microsoft have a president?

A Depends on the time period that you're asking about. Some time periods, yes; some time periods, no.

Q Does it have one?

A Today, yes.

Q Who is that?

A Steven Ballmer.

Q How long has Mr. Ballmer been president?

A About 30 days.

Q What was his position before that?

A Executive vice president.

Q How long had he held that position?

A That's a good question.

There's been an increase in the grand nature of titles over a period of time. Steve has been a very high level executive for a long time. But I don't think I came up with the use of the term "executive vice president" until something -- no -- I'm not sure when I started using that term -- when we used that term for his position.

Q Is it fair to say that Mr. Ballmer has been a very high executive, to use your phrase, within Microsoft for several years?

A Yes.

Q Did you ever ask Mr. Ballmer to provide you with information concerning Netscape's revenues?

A No. I don't remember doing that. It would be a very unusual thing for me to ask Steve.

He's -- as we discussed, he's a fairly high level executive, so he doesn't generally go out and work on my behalf gathering numbers.

Q Let me ask you to look at Exhibit 355 and, in particular, the second paragraph of the third page which reads, quote,

"'Our business model works even if all Internet software is free,' close quote, says

Mr. Gates. Quote, 'We are still selling operating systems,' close quote. Netscape, in contrast, is dependent on its Internet software for profits, he points out."

You've testified as to the context in which this statement was made. Did you understand at the time that these words were used, that the publication of these words might well affect Netscape's business?

MR. HEINER: Asked and answered.

MR. BOIES: Don't think so.

THE WITNESS: In this interview I was defending Microsoft in the work we were doing to the reporter. And she was the one who was bringing up Netscape in several of the questions.

The -- you know, the last part there doesn't even seem to be a quote, so I'm not sure what I said, actually.

Q BY MR. BOIES: When you were talking to the reporter you knew that it was likely that the reporter would publish at least some of what you told the reporter; correct, sir?

A Yes.

Q When you used the words with this reporter that are set forth here, did you understand that if those words were published it might well affect Netscape's business?

A I've already testified I don't remember using those words. So trying to reconstruct my state of mind around using those words when I don't remember using those words is not going to be possible.

Q Let me be sure I understand your testimony.

It's your testimony that you do not remember making this statement to the reporter? That's your testimony?

A That's right.

Q Do you have any reason to doubt that you made this statement to the reporter?

A Well, it seems like we're going over this again and again.

I think there were a series of questions from her about -- you know, that Netscape -- that Microsoft might not have the future because of what was going on in the Internet. And although I don't remember my specific answer, I do remember her asking a lot of questions along those lines.

Q My question now, sir, is not what the reporter asked you, my question is whether you have any reason to doubt that you said the words that the reporter attributes to you.

A Do you mean the ones in quotes?

Q Let's begin with the ones in quotes, sir.

Do you have any doubt or any reason to doubt that you told this reporter in words or in substance that Microsoft's business model works even if all Internet software is free because you were still selling operating systems?

A I don't remember saying that.

Q Do you have any reason to doubt that you said that in words or in substance to this reporter in 1996?

A I'd want to go back and look at the transcript to find out if I did or not.

Q My question is whether sitting here you have any reason to doubt that you said these words.

A I don't remember saying those words.

Q I know that that's what you've said.

Now I'm asking you a different question, which is whether you have any reason to doubt that you said these words.

And if you don't understand the question, you can simply tell me you don't understand the question.

A I'm not sure what my memory can hold except for knowing whether I remember if I said it or not. I don't remember not saying it. That's kind of unusual memory to have. But I think that's what you're saying: Is there a specific memory in my head when I go look up my memory where it says, "I never said these words." And I don't have a memory of that either.

Q Do you have a memory of stating the substance of what is attributed to you even if you don't remember saying the exact words?

A No.

Q Do you have any reason to doubt that

you said the substance of what is attributed to you?

A I have no recollection of saying what is in the substance of that quote.

Q Is what is in the substance of this paragraph inconsistent with what you told people publicly in 1996?

A I'm not sure what -- you're asking me to recall everything I said during that year and compare it for consistency with this particular sentence here?

MR. BOIES: Move to strike the answer as nonresponsive.

MR. HEINER: Well, I had an objection along the same lines. But I guess in this case the witness stated the objection. Vague and ambiguous.

MR. BOIES: That's not a reason not to answer the question.

MR. HEINER: No, that's fine. I'm just saying --

THE WITNESS: And I did answer, which is --

MR. BOIES: Read the question back, please.

(The following question was read:

"Q Is what is in the substance of this paragraph inconsistent with what you told people publicly in 1996?")

THE WITNESS: I think you're asking me for -- to check for consistency with all the statements I gave during that 12-month period, and I'm not able to do that.

Q BY MR. BOIES: Is what is stated in this paragraph, the second paragraph on page 3 of Exhibit 355, consistent with what you said publicly in 1996?

MR. HEINER: Objection.

THE WITNESS: Well, you'd have to understand the context of what her question -- what she defined the word "Internet software" to be when she was asking these questions. And sitting here right now, I don't know when she was asking her questions how she defined "Internet software." I'm sure I would have asked her what she meant by it in order to respond.

Q BY MR. BOIES: But you don't remember what you said; is that what your testimony is?

A I don't remember what the -- in this context she had -- she had defined what the term

"Internet software" meant.

Q Is it your testimony that at the present time you simply don't know what this paragraph means, it's unclear to you?

A I think to understand -- to decide if that sentence taken out of the context of the interview, if it's -- to understand what it means you have to decide what you mean by the term "Internet software." So if you want to tell me a definition of "Internet software," then I can say to you, yes, this seems correct to me or, no, it doesn't seem correct to me.

Q My question to you, sir is: As you sit here now, you don't have any knowledge of what is meant by the term "Internet software" in this quotation; is that what you're telling me?

A I'm not sure what it was meant during -- what was meant by it during the interview. There are many definitions you could have for that term "Internet software."

Q And as you look at this paragraph which says, quote,

"Our business model works even if all Internet software is free," close quote, says

Mr. Gates. Quote, "'We are still selling operating systems,' close quote. Netscape, in contrast, is dependent on its Internet software for profits he points out."

Now, it's your testimony that in that context you do not know what is meant by "Internet software"?

A Well, to give this statement internal consistency, it must have been in this interview I wasn't including operating systems in the term "Internet software," so the interviewer must have defined it that way, and I was including some products that Netscape was working on in that definition.

Q Browsers perhaps, do you think?

A Well, if you want to ask me about browser revenue, I'll be glad to. I can't comment on whether browse -- how browsers relate to this interview that I don't remember. I'll be glad to answer any question about browsers.

Q Well, let me ask a question about browsers, sir.

Do you have any doubt in your mind that the reference to Internet software in this paragraph

is a reference to browsers?

A Internet software -- I can't think of a definition of it that would be specifically just browsers.

Q Would it include browsers?

A Most definitions of it would, yes.

Q Would it be clear to you, sir, that the reference to Internet software here in this paragraph includes browsers?

A Well, when you talk about browsers, you have to think of different revenue streams. And it's not clear if in this interview that distinction had been drawn between the different potential revenue streams generated by a browser.

Q When you say "this interview," you mean the interview of you?

A That's right.

Q Right.

Let me try to put my question in a way that maybe it will be more understandable.

Is it clear to you from the context that's here that when a reference is made to Internet software, that reference includes browsers?

A Well, outside of the quotes if you look what the author wrote, she seems to have a very broad

definition of "Internet software." She seems to be including electronic mail and groupware, perhaps even database -- looks like database is included in her definition.

MR. BOIES: Move to strike the answer as nonresponsive.

Q Mr. Gates, with respect to the quotation that is attributed to you, do you have any doubt that Internet software, as used there, includes browsers?

A If the distinction had been made about the revenue streams, then, yes, it probably does.

Q Probably does include browsers?

A If the distinction had been made about the different revenue streams.

Q If the distinction had been made in this interview of you you're saying?

A That's right.

Q And it's your testimony that you just don't remember whether or not that distinction was made? Is that your testimony?

A That's right.

Q Let me ask you to look at another exhibit, the one that I have just marked 364.

(The document referred to was marked by

the court reporter as Government's Exhibit 364 for identification and is attached hereto.)

Q BY MR. BOIES: Do you have Exhibit 364 in front of you, sir?

Exhibit 355 that we were just talking about is a July 3, 1996 Financial Times article. Exhibit 364 is a June 10, 1996 Financial Times article. And I'd like you to look on the fourth page, the first paragraph, and you can read as much of the document as you need to to put this in context. But the paragraph that I'm interested in is at the top of the page, and it says, quote,

"Our business model works even if all Internet software is free," close quote, says Mr. Gates.

Quote, 'We are still selling operating systems. What does Netscape's business model look like if that happens, not very good,'" close quote.

Did you say those words to this reporter, Mr. Gates?

A Well, just understand we're covering exactly the same ground. I didn't give two interviews. This is all the same reporter, the same

interview. So we can go through all of that exactly like we did. Louise Kehoe is Louise Kehoe, I gave one interview.

Q Of course the June 10, 1996 article is written by two reporters; correct, sir?

A And I've never met or given an interview to Hugo Dixon as far as I can recall.

Q Well, let's see if looking at this article in any way refreshes your recollection.

Did you say to a Financial Times reporter in 1996, quote:

"Our business model works even if all Internet software is free. We are still selling operating systems. What does Netscape's business model look like if that happens? Not very good."

Did you say those words --

A I don't remember.

Q -- to a Financial Times reporter, Mr. Gates?

A I said I don't remember.

Q Did you communicate the substance of those words to a Financial Times reporter in 1996?

MR. HEINER: Asked and answered three

or four times just in the past 30 minutes.

MR. BOIES: This is the first time that we've dealt with this paragraph or this statement.

MR. HEINER: The testimony is that it's the same interview and the quotation's an exact quote from the other one.

MR. BOIES: It's not an exact quote from the other one.

MR. HEINER: Let's compare. They look awfully close.

MR. BOIES: They do look very close.

And it seems, if you believe these reporters, to be saying very similar things. But they are not the same.

THE WITNESS: Where do you see the difference? One just seems to have more words in it. Maybe my reading skills aren't working today.

Q BY MR. BOIES: Well, one of things that is different is in the one we're looking at right now, Exhibit 364, it says as part of the quote, "'What does Netscape's business model look like if that happens? Not very good.'"

That quotation wasn't in the prior article.

Now, maybe you don't remember saying

that either, Mr. Gates, but I think your counsel will agree that I'm entitled to ask you whether you remember saying that.

MR. HEINER: Well, the testimony was he doesn't remember saying these words in this interview.

MR. BOIES: And what I then asked him was whether he remembered communicating the substance of what is stated here.

THE WITNESS: Even when you add the extra words on there in terms of my recollection of the specifics or the substance, I'd say the same thing I said before when we were talking about the same quote but without those extra words not included in this article.

Q BY MR. BOIES: So your testimony today about the quotation in Exhibit 355 would be applicable to what is attributed to you in Exhibit 364 as well?

A That's correct.

Q Okay.

Do you have any reason to believe that there would have been any reason for this reporter to have made up these quotations?

A Didn't you already ask that?

Q I asked that with respect to the Business Week reporter. I'm now asking it with respect to The Financial Times reporter.

A Same answer.

Q You do have to give it for the record, sir. What I'm asking you is whether you have any reason to believe that The Financial Times reporter would have made up or had any reason to make up the quotations that are attributed to you here.

A I don't think they're infallible, but I have no reason to suspect in this case that they made it up.

Q Okay.

Without regard to any particular article, in 1996 did you tell people publicly that Microsoft would do fine if Internet software or browsers were free but that Netscape would not do fine if Internet software or browsers were free?

A What do you mean by "Internet software"?

Q What I mean is what you refer to as Internet software in these various quotations.

A I'm afraid we're not going to be able to know what my state of mind was when I gave that interview. If you want to define it, I'll be glad to

answer the question.

Q Do I take it that your testimony is that you simply have no recollection whatsoever as to what you meant by these words in 1996?

A No. It wasn't what I meant. I responded to a reporter's question, and I've already said to you that she must have given me a reason to understand what she meant in her questions in order for me to be able to answer them.

Q Do you remember asking her what she meant by those terms?

A I feel pretty sure I wouldn't have used the term unless there was some understanding of what she understood the term to mean.

Q Why is that, sir?

A I'm just saying it's not typical for me to use a term with a reporter where it's a very open unended term that can be used in a lot of different ways without any understanding between myself and the reporter of -- in that context, in that series of questions, what's being referred to.

Q Well, I'd like to draw a distinction, if I could, between having any understanding at all, which could come from a variety of sources, and asking the reporter for a definition.

Did you ask the reporter for a definition of what was meant by "Internet software"?

A All I can say, not recalling the specifics in the interview, is that it's very unlikely I would make a statement like that without some common understanding between myself and the reporter of what that term, which out of context is incredibly ambiguous, what it meant in the context of her series of questions.

Q And just to be sure I understand it.

What you're saying is that you don't remember what the definition was and you don't even remember that there was a definition, but you believe there must have been a definition or you wouldn't have been using these words.

Is that fair?

A There must have been a common understanding, I wouldn't say a definition.

Q How would that common understanding have been arrived at other than through a definition?

A Well, somebody can give examples. I'm just saying it doesn't have to be a formal definition for two people to have a context in a conversation of what a word means. That is neither one has to say, "I define the word as follows." So maybe I

interpreted your use of the word "definition" too strictly.

Q Okay.

A So if you define "definition" for this conversation in a loose way, then I'll understand what you mean.

Q That is, what you need in order to understand the question is to have me define what is meant by "definition"?

A At least loosely.

Q What I mean by definition is what you meant by definition when you said that you wouldn't have answered this question unless you had a definition of the word.

A "Common understanding" -- I used the word "common understanding," and I'll stick with that.

Q In 1996 was there a common understanding of what was meant by "Internet software"?

A In a context-free sense, absolutely not.

Q Was there a common understanding of what was meant by an Internet browser?

A The whole notion of what the browser --

what features it would contain or what it would mean or all that was very uncertain in 1996.

Q Let me ask you a different question.

Do you believe that the publication of this article and, in particular, the publication of a statement attributed to you, whether accurately attributed to you or not, that quote,

"'Our business model works even if all Internet software is free,' close quote, says Mr. Gates.

Quote, 'We are still selling operating systems. What does Netscape's business model look like if that happens? Not very good,' close quote.

Do you believe that the publication of that statement affected Netscape?

A I know when people have been quoted in the press, competitors, saying how -- what trouble Microsoft is in and how much better their products are, that it's rarely had a direct effect on our business. I think somehow people rely on more analytical observers.

MR. BOIES: I'll move to strike the answer as nonresponsive.

Would you read the question again,
please?

(The following question was read:

"Q Do you believe that the
publication of that statement
affected Netscape?")

THE WITNESS: What do you mean
"affected Netscape"?

Q BY MR. BOIES: Are you telling me that
you don't understand the question, sir?

A Yes, that's what I'm saying to you.

Q Okay.

By "affected Netscape," I mean
adversely affected Netscape.

A Like hurt their feelings, somebody
cried, or somebody in reading the article smiled?

Q Are you saying that you don't
understand what I mean by "adversely affected
Netscape"?

A No, I don't know what your criteria is.
I think it's likely somebody may have read it and
disagreed with it.

Q Do you think it adversely affected
Netscape's business prospects?

A I think the general work that we were

doing to do strong Internet software had an effect on Netscape, but I don't think quotations like that had any direct effect.

Q Now, you putting in the word "direct effect," and I know that you're a very precise person from the statement you've already made today. So I'm going to ask you what you mean by the use of the word "direct" there that you put in the answer that wasn't in the question. What do you mean by "direct"?

A Well, I said earlier that there are analytical observers like analysts, and they tend to look at technology companies and deliver pronouncements about them. And, you know, some of them will be positive about a company, and some will be negative about a company.

It's possible in looking at the general activities of Microsoft, one of those analysts formed a certain conclusion about Netscape and published that conclusion and that that might have had an effect. And so you could say that analysts may have had an effect. And analysts look at what Microsoft does, primarily in the products, not as much what we say is what we do in shipping our products.

Q What I'm asking you about, of course, right now is the effect of what you were saying or

what was attributed to you. And I do want to come to the effect that your products had on Netscape as well. But right now I want to talk about the effect of what was attributed to you.

And what I'm asking you is whether you believe that the publication of statements like this attributed to you adversely affected Netscape's business prospects.

A I'm not aware of any specific effect.

And my general experience is that when competitors have made statements about us, that doesn't have an effect, rather that the people who do analysis or the actual products get shipped are what cause effects on our business.

Q Do you think that the effect on Microsoft's business of competitors saying things about Microsoft is comparable to the effect on Netscape's business of Microsoft saying things like this about Netscape?

A Are we now talking about what was published or what was said?

Q Well, we're talking about what was published here.

A Okay. Well, then, stick to that.

Q That's what I am, sir, because I

understand that your testimony is that you just don't remember saying any of these quotations that these publications have attributed to you.

A No.

Q That's why I'm asking about what is written here because there's no doubt -- you have no doubt that this was actually published, do you, sir?

A I believe it was published.

Q Okay. So at least we know that The Financial Times published, quote,

"Our business model works even if all Internet software is free," close quote, says Mr. Gates.

Quote, 'We are still selling operating systems. What does Netscape's business model look like if that happens? Not very good,'" close quote.

Now, I asked you whether you thought that the publication of that adversely affected Netscape's business prospects. And you then gave me an answer that talked about the effect on Microsoft of criticism of Microsoft.

Do you recall that?

A Well, that wasn't all that I said. We

can read back what I said.

Q If you would like to have it read back, it's okay with me. I don't need to have it read back. But if -- I've got as much time as I need to finish the examination, sir, and I'm prepared to spend as many days here as I have to to do that. I think the record is quite clear as to what your answer was, and I think it is quite clear that you kept going back to Microsoft's experience, and that's the only point I'm trying to get you to focus on. Now, do you recall that enough to answer the question, or do we need to go back? Either way's okay with me.

A Go ahead and ask a question, and then I'll decide.

Q Do you think -- because you're the one that brought up the effect on Microsoft criticism. Do you think that the effect on Microsoft of criticism of it is comparable to the effect on Netscape of a publication of statements attributed to you like, quote, "'Our business model works even if all Internet software is free,' close quote, says Mr. Gates. Quote, 'We are still selling

operating systems. What does Netscape's business model look like if that happens? Not very good,'" close quote.

A So you're supposing a case where I personally criticized Microsoft?

Q I'm not supposing anything at all, sir.

A That's what you suggested.

Q No. Sir, let me try to be clear. And perhaps I'm not being clear.

A Who's doing the criticism in your hypothetical?

Q Well, I think the only person that has mentioned the word "criticism" today is you; that I think it came out of your answer when you were talking about criticism of Microsoft. Now, if I've misremembered your testimony about that, I will stand corrected by the record.

But my recollection is that I asked you whether you thought the publication of statements like this would adversely affect Netscape's business prospects. And my recollection is that you gave me an answer, a substantial portion of which included a statement that it had been your experience that criticism of Microsoft didn't really affect your

business.

A No, I didn't say that. I said statements by competitors, whether critical or otherwise, I didn't think explained what happened to our business but, rather, other factors could explain what happened to our business.

Q Okay. Let me use "statements." And if I misremembered the word "criticism," I apologize. Do you think that the effect on Microsoft's business of statements about Microsoft by its competitors is comparable to the effect on Netscape's business of the publication of statements like, quote,

"Our business model works even if all Internet software is free," close quote, says Mr. Gates. Quote, 'We are still selling operating systems. What does Netscape's business model look like if that happens? Not very good,'" close quote.

MR. NEUKOM: If you read that one more time -- that's seven times. Come on.

MR. BOIES: I wish this question had been answered simply. I think it could have been.

THE WITNESS: I gave you a very simple answer that I was not aware of any effect on their business by the publication.

Q BY MR. BOIES: And that may have answered my question, sir. But because I know that you're a person that uses words very precisely, I need to be sure that we haven't missed something between the question and the answer. My question was whether you believed that this publication affected Netscape's business prospects.

You said you didn't know of any effect.

And I just wanted to be sure that your answer was meant to apply to the full breadth of my question.

A The full breadth of your question?

Q Yes, sir. And if that's confusing to you, as I say, I will put the question as many times as I need to to be sure that I get it clear to you. My question -- and unfortunately, I'm going to have to quote it again.

MR. HEINER: There's no need. There's really no need.

Q BY MR. BOIES: But my question, sir, is whether you believe that the publication of statements like the statement in The Financial Times that, quote, "'Our business model works even if all

Internet software it free,' close quote, says Mr. Gates. Quote, 'We are still selling operating systems. What does Netscape's business model look like if that happens? Not very good,'" close quote, adversely affects Netscape's business prospects.

A I told you, I'm not aware of any effects on Netscape by the publication of that statement.

Q Have you finished your answer?

A Yes.

Q Do you believe that the publication of that statement adversely affects Netscape's business prospects, whether you are aware of precisely what those effects are or not?

A Well, I'm not absolutely sure, but I did explain to you that in the analogous situation the effect has not come from that but from other factors.

Q And what is the analogous situation that you refer to?

A Statements by competitors about Microsoft.

Q And do you believe that statements by competitors about Microsoft are analogous in terms of their effect on Microsoft to statements like this

about Netscape?

A I'm not absolutely sure what you mean by "like this," but in general, yes.

Q By "like this" I mean the quotation in The Financial Times article.

A I don't know what it means to be "like" that.

Q Is that because you don't understand the word "like" or because you don't understand what it means to be like something?

A Neither.

Q What is it then?

A I stated in quite a broad way that statements by competitors about us have not been a factor to explain future developments in our business prospect, but rather other factors explain any changes in our business prospects. And I'll say that broadly about competitive statements by competitors.

Q Statements by competitors about Microsoft?

A That's right.

Q Now, what I'm asking about is not statements about Microsoft by competitors. But I'm asking about statements about Netscape. And the question that I most recently asked that I thought

was simpler than it is turning out to be is whether you believed that statements about Microsoft by its competitors would have an analogous effect on Microsoft to statements like the one published in The Financial Times in 1996 in June that we've been looking at.

MR. HEINER: Object to the question.

It's just hopelessly vague and ambiguous.

Are you referring to other kinds of statements?

MR. BOIES: Okay. I'll go back. I was trying to avoid quoting the darn thing again. But if I have to be precise, I'll be precise.

MR. HEINER: Mr. Boies, it's the other side of the quote. It's the other kinds of quotes about other companies.

MR. BOIES: Okay. Let me try to put it as precisely as I can.

MR. HEINER: Before you do the recitation, I would just like to say that we're ready for a break when you come to a logical stopping point. I'm not sure there will be a logical stopping point any time soon since it's been two hours on this point.

MR. BOIES: I don't know if it's been

two hours. I just started 50 minutes ago.

MR. HEINER: No. But I'm including

Mr. Houck's segment.

MR. BOIES: Let me see if I can bring it to a close because I don't think this should be as difficult as it appears to have become. And let me see if I can identify what I think we're in agreement on.

Q This statement was published in The Financial Times; correct?

A I think it was.

Q You have said that statements that have been published about Microsoft by its competitors do not, in your view, adversely affect Microsoft's business; correct?

A Yeah. I've said that other factors like what happens with products or other observers less directly involved in my view explain whatever change in our business prospects happen.

Q Now, my question is whether you believe that that is true for Netscape as well; that is, that statements about Netscape by its competitors, including Microsoft, do not affect Netscape's business prospects.

A Well, I think it's pretty hard -- you

know, you don't have a world where you can say hold everything else the same: the analysts' comments, what happens with products and just take out one thing. So your whole notion here that I'm supposed to ascribe to you as certain cause-and-effect relationships is really quite absurd.

Q Well, let me ask you a question,

Mr. Gates: Do you have any doubt that the publication of this statement attributed to you in The Financial Times adversely affected Netscape's business prospects?

A In the world I live in people look to unbiased observers to judge things about products and financial prospects and things of that nature. But we're not going to be able to run the experiment of keeping everything the same and having the world with some statement and the world without some statement and determine the ultimate cause and effect.

Q Would you read the question back, please.

(The following question was read:

"Q Do you have any doubt that the publication of this statement attributed to you in The Financial Times adversely affected

Netscape's business prospects?")

Q BY MR. BOIES: May I have an answer to that question, please, sir?

A I told you before I'm not aware of any effect on Netscape's business prospects by that statement.

Q My question right now is whether you have any doubt that there were such effects; that is, do you have any doubt that regardless of whether you can identify them as you sit here now and tell me what they are, do you have any doubt that your being said to have said these words hurt Netscape's business prospects?

A I think while we can't run the experiment that held everything else the same, that is, the comments of analysts, the quality of the products, all those things going on, and didn't have that comment published, that their business prospects would have been the same. That's my belief, but we don't get to run that experiment.

Q Do you believe that the publication of statements like this by you or statements like this attributed to you affected what analysts wrote about Netscape?

A Analysts do their own thinking and come

to their own conclusions. They might look at statements in order to consider various hypotheses. But they're particularly good at ignoring statements made about one company who's competing with another company.

Q Does that mean that it's your testimony that you believe that analysts analyzing Netscape would have ignored this statement attributed to you?

A No. I didn't say that. I said it might get them to consider. I said the opposite. In fact, I said it might get to consider certain hypotheses, but they would do their own thinking and come to their own conclusions based on factors completely independent of that. They're in the business of talking about objective analysis.

Q Is one of the objective analysis that they're in the prospect or business of doing -- is figuring out what the effect on Netscape is going to be if certain actions that Microsoft takes?

A A financial analyst who's assigned to Netscape would have that as one of the things they would do.

Q And did you in 1996 make a conscious effort to try to affect what financial analysts analyzing Netscape did and thought?

A I personally didn't, no.

Q Did Microsoft?

A Microsoft, I'm sure, made analysts aware of what we were doing with our products including the innovative work we were doing. And I'm sure that had an effect.

Q Did you or others at Microsoft, to your knowledge, do things with the purpose of affecting what analysts analyzing Netscape wrote or thought?

A Well, our primary focus is going out and talking about our products and what they do for customers. If the customer or the analyst asks us a question about Netscape or asks for a comparison, it's not unusual to give them an answer.

Q Did you or, to your knowledge, others at Microsoft do things for the purpose of affecting what analysts analyzing Netscape wrote or thought?

A We certainly let people know about the good work we were doing. The primary purpose of that wasn't to affect Netscape, but certainly one of its effects would have been to affect how they viewed the competition between Microsoft and Netscape.

Q In addition to talking about your good works, was one of the purposes of talking about giving away Internet software for free to affect the

way analysts looked at Netscape?

A Well, I doubt you can ascribe too much effect purely to the talking about it.

Q I would certainly agree that the fact that you did it and talked about it was a lot more effective than just talking about it. But right now I am focusing on the talking about it.

A That's again one of these experiments we can't run where you say what if we refuse to answer all questions about Netscape but we did what we did. My view is that the work and the products and everything, that the talking is not the key element in how our business prospects or other people's involved.

Q Now, you knew that giving it away for free was going to adversely affect Netscape's business, didn't you?

MR. HEINER: Objection. Objection.

THE WITNESS: Well, what are you talking about? Is there -- have you got some antecedent to the word "it"?

Q BY MR. BOIES: Is the question unclear to you, sir?

A Yes, sir. You never defined what you're talking about.

Q Okay. If the question is unclear to you, I think that's an answer that I would just as soon have the record have.

MR. HEINER: Which it does. Is this a logical stopping point? I objected on that basis, he objected on that basis. So it's crystal clear that the question was unclear because the word "it" was not defined.

MR. BOIES: I think what "it" is is pretty well-defined in this litigation. I think the witness knows perfectly well what "it" is.

MR. HEINER: No. I would not let a witness answer that question under any circumstances.

MR. BOIES: Okay.

Q Do you think, Mr. Gates, that Microsoft's giving away of its Internet Explorer browser for free adversely affected Netscape's business?

MR. HEINER: Objection. Lack of foundation.

THE WITNESS: Well, as I've said earlier, we don't give away all the aspects of the browser. We do let Windows users have the browsing functionality as part of Windows. But we derive significant revenue from things like the Search

button and the Home Page.

Q BY MR. BOIES: Have you told people that Microsoft was going to give the browser away for free and that indeed it would be forever free?

A I said that it would be a feature of Windows and available to people who used Windows. In that sense, yes.

Q Well, you may have said that. But what I'm now asking you about is whether you also said that Microsoft was going to give the browser away for free and that it would be forever free.

Did you say that, sir?

A When I was talking about Windows and the future of Windows, I did say that was one of the features that would come in Windows at no extra charge and that it wouldn't become an extra charge feature.

Q You may very well have said that, and I accept that you said that. But my question to you, sir, is whether you said that Microsoft was going to give the browser away for free and it would be forever free.

Did you say that, sir?

MR. HEINER: Asked and answered.

THE WITNESS: I don't know why -- what

distinction you're drawing.

Q BY MR. BOIES: I'm talking about the statement.

A The word "the browser" when I talked about it being free and forever free was talking about the browser functionality of Windows.

Q Okay.

But when you talked about it, you used the word "browser" not "browser functionality"; correct, sir?

A I don't remember the exact words. It's very possible I used that shorthand.

Q And you talked about the browser being forever free, did you not, sir?

A Are you asking me about exact words?

Q Yes. I'm asking you about the exact words.

A Or are you asking me to explain what I said?

Q I'm asking you about the exact words.

Did you say the exact words that the browser was going to be forever free?

A If you're asking me about exact words, I don't recall the exact words that were used.

Q Is it your testimony that you do not,

as you sit here now, recall saying that the browser would be forever free?

A Those exact words?

Q Those exact words.

A I would want to see the context and be reminded about that. I don't remember using those exact words.

Q Okay.

Do you remember using the words "forever free," those exact words?

A Those two words?

Q Yes.

A I'm sure I used those before I was five years old.

Q Really? With respect to what?

A Forever free. I wanted to be forever free.

Q All right.

Did you ever use those with respect to the browser?

A If you're asking is there a sentence that if you did a string search would have exactly those words in it, I'm not sure. I did say that we would keep -- I did deliver that intent; that is, that the browsing functionality in Windows was not

something that we intended at some time in the future to charge extra for.

Q And what you're telling me is you don't remember whether you just used the words "forever free"? That's what you're saying?

A I may have.

Q You may have?

A The general notion of the Windows browser functionality staying free in the future was certainly communicated by me.

Q Okay. Thank you.

MR. HEINER: Let's take a break.

THE VIDEOGRAPHER: The time is 4:07.

We're going off the record. This is the end of Tape 3 of the videotaped deposition of Bill Gates.

(Recess.)

THE VIDEOGRAPHER: The time is 4:22.

We're going back on the record. This is Tape 4 of the videotaped deposition of Bill Gates.

Q BY MR. BOIES: Mr. Gates, before the break we were talking about certain statements attributed to you in Exhibits 355, 356, and 364.

Did you ever contact any of the publications involved with those exhibits and complain that they had misquoted you in any way?

A You mean the two quotes?

Q Well, I'm actually talking about three quotes.

A No. One is a pure subset of the other; right?

Q Well, you obviously have a precise view of what you mean by "subset." But let me be absolutely clear of what I'm talking about, okay? And let me go through it chronologically.

A Do you want to read it again?

Q On June 10, 1996, in a document that had been marked as Exhibit 364, The Financial Times attributed to you a quotation, quote,

"'Our business model works even if all Internet software is free,' close quote, says Mr. Gates.

'We're still selling operating systems. What does Netscape's business model look like if that happens? Not very good,'" close quote.

Did you ever contact either the reporter for The Financial Times who interviewed you or The Financial Times to assert that they had misquoted you in any way?

A No.

Q On July 3, 1996 The Financial Times published what I think you refer to as a subset of that quote: Quote, "Our business model works even if all Internet software is free," close quote, says Mr. Gates. Quote, 'We are still selling operating systems,'" close quote. And then added not in quotes the statement, "Netscape in contrast is dependent on its Internet software for profits he points out." Did you ever contact either the reporter or The Financial Times to assert that either they had misquoted you or that the textural assertion about what you said was inaccurate in any way?

A No.

Q The third is Exhibit 356, which is a Business Week publication dated July 15, 1996, that includes the statement, quote, "One thing to remember about Microsoft," close quote, says Chairman William H. Gates III, quote, 'We don't need to make any revenue

from Internet software,'" close
quote.

Did you ever contact either the
reporter, who I recognize you say did not interview
you, or Business Week to assert that that quote was
in any way inaccurate?

A Well, I told you I've never talked to
that reporter nor did I contact Business Week.

Q In 1996 did you believe that Netscape
posed a serious threat to Microsoft?

A They were one of our competitors.

Q Were they a serious competitor in your
view, sir?

A Yes.

Q Did you believe that Netscape's browser
was a serious threat to your -- that is
Microsoft's -- operating system's business?

A Well, you have to think about what work
we were going to do to improve our software and then
what Netscape and others were going to do to improve
their software. You can't just look at it
statically. It's more the work than -- the new
things you do than the history.

Q Did you believe that by 1996, that
Netscape and Netscape's Internet browser was a

serious alternative platform to the platform represented by Microsoft's Windows operating system?

A Well, as was articulated by Marc Andreessen and other people from Netscape, if we didn't do new product work, that was a very likely outcome.

Q What was a very likely outcome?

A That the value of the Windows platform would be greatly reduced.

Q Did you believe that it was in Microsoft's interest to convince financial analysts that Netscape was not going to be financially viable?

A I never had a goal to do that, and my only comments about Netscape's business would have come in response to direct questions about that topic from reporters.

Q Well, let me ask you to look at what has been previously marked as Exhibit 354, which is a memorandum from you in May of 1996. And the last paragraph begins, quote, "At some point financial minded analysts will begin to consider how much of a revenue stream Netscape will be able to generate," close quote.

Why was that important to you in this internal memorandum which, obviously, is not something which you're merely responding to a reporter's inquiry, but it is something that is involved in your internal deliberations within Microsoft.

A Who said it was important? It doesn't say -- I mean, it's one of many sentences in the memo.

Q Is it your testimony that this is an unimportant sentence, sir?

A I don't think it's any more important than any of the other sentences in here.

Q Is it any less important than any of the other sentences?

A Yeah. It's not germane to the primary topic of the memo.

Q If it wasn't germane to the primary topic of the memo and if it wasn't particularly important, why did you include it, Mr. Gates?

A It's merely an observation that I put into this rather extensive memo that talks about our plans in doing innovative products, and it's tacked on as the last paragraph. And you didn't read the whole paragraph, but it says "at some point." So it

seems to be a prediction about that.

Q Yes, I agree, it seems to be a prediction. And I think I did read the "at some point."

But my point to you is this is a memorandum that you were sending to a number of the top executives of Microsoft; correct, sir?

A All product people.

Q Well, let's see. We have Mr. Ballmer.

A It's not to him.

Q He's getting a copy?

A That's right.

Q Okay.

And what was Mr. Ballmer's position in May of 1996?

A Executive vice president.

Q How many executive vice presidents did Microsoft have at that time?

A One, two, three, four.

Q And who were the others?

A Bob Herbold, Pete Higgins and Paul Maritz -- no, no, no. Maybe -- no, I think it's just four.

Q So that this memorandum went to all four of the executive vice presidents; correct, sir?

A It went to Paul Maritz. It was copied to the other people there.

Q It was either addressed or copied to all four of the executive vice presidents?

A They're among the recipients, yes.

Q Let's go through who the other recipients are.

It is addressed to executive vice president Paul Maritz. And below you at this time was executive vice president the highest position in the company?

A Yes.

Q And beneath executive vice presidents, what was the next level?

A Senior vice presidents.

Q And how many senior vice presidents were there?

A I couldn't tell you. I could -- we could do the range thing if you want.

Q Okay. That would be good.

A About three to nine.

Q Okay.

Can you be any more --

A I'd say six to nine.

Q Okay. Let's go through the people who

got this memo. It's addressed to executive vice president Paul Maritz.

A Actually, his name is misspelled, but yes.

Q What was Brad Silverberg's position?

A I think he was a senior vice president, but he worked for Paul and did a lot of the development of software that went into Windows.

Q And he was one of the addressees of this memo?

A That's right. It goes Maritz, and then he's the second person on the "To" line.

Q And the third person to whom it's addressed is Jim Allchin; is that correct?

A That's right.

Q What was his position?

A Senior vice president of the core Windows development.

Q And the next person to whom it's addressed is Brad Chase. And what is his position?

A At that time or at this time?

Q At that time.

A At that time he worked for Brad Silverberg managing our relationships with ISVs broadly defined and some of the marketing activities.

Q Did he have a position like vice president?

A Oh, I'm sorry. He was a vice president.

Q The next person to whom it's addressed is Rich Tong.

A He was a vice president with an analogous person to Brad Chase but working for Jim Allchin.

Q And the next person is John Ludwig.

A He was a -- I'm pretty sure he was a vice president at this time working for Brad Silverberg.

Q Now, copies of the memo go to executive vice presidents Ballmer, Herbold and Higgins; is that correct?

A If I've got those titles right. Actually, now that I think about it, I think Paul and Pete were actually called group vice presidents. And -- yeah, they're called group vice presidents, which maybe nobody but me knows this, but actually numerically that's one number lower than executive vice president.

Q Okay. We'll keep this highly confidential.

And then it goes to a variety of other people that, I assume, hold at least in the main significant positions in the company; is that fair?

A No.

Q Okay. Then let's go through them.

The copies are Steve Ballmer, he was an executive vice president?

A Yeah. If you want, I'll just go through it.

Q Okay. That would be great.

A Herbold, executive vice president; Jeff Raikes, senior vice president of -- involved in U.S. activities working for Steve; Bernard, who at the time ran some of the sales in Europe working for Steve; Joachim --

Q And if you could just give his title?

A Bernard actually had an exciting title.

He was the chairman of Europe and also senior vice president. But he liked -- on his card he carried the one that said Chairman of Europe.

Joachim Kempin, senior vice president;

Pete Higgins, group vice president; Nathan --

Nathan's also a group vice president at this time, I think. Aaron is a --

Q You need to give the full name just for

the record.

A I'm sorry. Aaron Contorer is an assistant; Steve Sinofsky was an assistant. Actually, I don't know which of those was an assistant working for me at the time. And Ben Slivka and Chris Jones were two developers.

Q When you say they were assistants, they were assistants to you?

A Yeah.

Q Is it fair to say that you meant this memorandum to be taken seriously by the people to whom it was sent?

A No more seriously than other e-mail and memorandums I sent them, but yes, seriously.

Q Well, now, again, because I know that you're very precise in your use of words, you've drawn distinctions before between e-mails and memoranda; correct, sir?

A That's right.

Q If fact, you did so today several times when you were being questioned; correct, sir?

A I drew a distinction between e-mail being called memoranda.

Q You didn't like e-mails being called memoranda because you thought e-mails didn't rise to

the level of memoranda; is that right?

A I didn't suggest a hierarchy, I just suggested a distinction.

Q Is there a hierarchy in your mind?

A No. But there's a distinction.

Q Are memoranda more formal and more serious than e-mails?

A No. I'd say they're longer and more thoughtful than most e-mail.

Q Now, what we're looking at here is one of the longer more thoughtful documents, that is, a memorandum; correct?

A Right.

Q And in that longer more thoughtful memorandum in the final paragraph you write,

"At some point financial

minded analysts will begin to

consider how much of a revenue stream

Netscape will be able to generate."

Now, what was the significance of that to you at the time, sir?

A It was a fact that I stated in the memo.

Q Well, it clearly is a fact that you state in the memo. But my question to you, sir, is:

What was the significance to you of that fact?

A I'm not sure what you mean by that.

Q In 1996 at the time that you wrote this memorandum, what was the significance to you of the fact that, quote,

"At some point financial minded analysts will begin to consider how much of a revenue stream Netscape will be able to generate"?

A I think it must have referred to the fact that Netscape was at this point a public company.

Q And can you explain what you mean by that?

A Well, usually you don't have financial analysts for private companies.

Q I'm not sure I understand your answer.

In this memorandum you say,

"At some point financial minded analysts will begin to consider how much of a revenue stream Netscape will be able to generate."

What is the significance of that fact to you, or what was the significance of that fact to you in 1996?

A Well, I can't reconstruct my state of mind in 1996. But I think it's a fact of almost no significance at all.

Q Why would you have put a fact that you say has no significance at all?

A I didn't say that.

Q What did you say?

A I said almost.

Q Almost no significance at all.

Why would you put a fact that, according to you, had almost no significance at all in what you have described as this longer, more thoughtful memorandum to what looks to me to be like most of the very top executives of your company?

A I wrote a memo about our products and some of the good things we were doing in our products. I think you can point to a lot of different sentences in here and try and drill in on it and overstate its -- the significance of an individual sentence.

Q And I am, as you say, I'm drilling in on this particular sentence. But what I'm asking you is if this particular sentence has, as you put it, almost no significance at all, why would you put it in this memorandum that you describe as one of the

longer, more thoughtful type of communications within your company addressed to the very top executives of your company?

A I write lots of things that we would call memoranda. And I'm sure we can pick a lot of sentences in a lot of my memoranda, and you can say to me, "Isn't it awful that that sentence doesn't have more significance," and I'll say, "Fine. That -- you know, I don't require that every sentence in every memoranda I write have deep significance."

Q Does that complete your answer to my question?

A Yes.

Q In 1996, regardless of what significance you attribute to this particular sentence, was it significant to you how financial analysts viewed Netscape?

A Well, the thing -- that's not what we thought about when we thought about the competition with Netscape or the emerging demands for Internet capabilities coming from our customers.

Q My question to you, sir, was: Did it matter to you what financial analysts thought of Netscape?

A I'm sure there were people here who

read what the financial analysts wrote, or some of them, in order to learn more about Netscape.

Q Yes. I will accept that that is so.

A So we would learn from them.

Q Was it significant to you what they thought not for the purpose of learning things from them, but was it significant to you what they thought about Netscape? And just to be clear, because I know you're very precise with words, was it significant to you what financial analysts thought about Netscape?

A Well, I'd say the thing -- I'd say if we're trying to say what is -- rank things in terms of significance, I'd say that would be about the most insignificant thing I can think of.

Q Did you ever tell anybody within Microsoft that you thought it was important what financial analysts thought about Netscape?

A No. I don't think I've ever said anything like that.

Q Not in words or in substance?

A Well, you keep trying to draw the distinction. I did think it was important for us to learn about Netscape from different sources, and analysts would have been one of those sources. And somehow you've -- you've thrown that away, the fact

that that was a source of learning.

Q I didn't mean to throw it away. I'm simply focusing on a different issue.

A How can you separate out the two issues?

Q Let me try to be clear. Perhaps my question has not been clear, and I need to be clearer about it.

In 1996, did you want, desire, financial analysts to have a poor or pessimistic or negative view about Netscape?

A Well, as we, during 1996, were improving our product and demoing our products and talking about what we thought customers were interested in, there were several elements of feedback that we'd get including what customers were saying about our Internet strategy and our Internet products, and the analysts, likewise, were a form of feedback. And so they were saying -- or customers were saying, jeez, we think your efforts aren't what customers want and we think Netscape or some other company has a strong strategy that matches what they want, that would be a piece of feedback to us to go back and work on aspects of our software products. So in that sense we were interested

because it might help us see where we were in terms of meeting those customer needs.

Q Let me try again.

My question does not relate to what you wanted to learn from financial analysts, my question is whether you wanted to affect what financial analysts thought to make financial analysts think in a negative or pessimistic way about Netscape. Did you want that, sir, in 1996?

A Well, in order to get feedback from customers and analysts, we would show them our products, demonstrate them or show the ones we were shipping. And we felt, you know, showing customers or demonstrating what we were doing to them or analysts was a valuable way to benchmark where we were. And so if their response was, "Wow, that's so incredible, that's the best thing I've seen," then that was a valuable piece of feedback. Or if they said, "That's quite inferior," that was a valuable piece of feedback. And so in that sense it was useful.

Q Let me try to see if I can clarify my question because I may not be being clear. First, I'm not talking about customers now, I'm talking about financial analysts. Second,

I'm not talking about your desire to get feedback about your products. What I'm talking about is whether you wanted to make financial analysts feel negative or pessimistic about Netscape's business prospects.

Did you want that in 1996?

A I don't have any control over what analysts think. As far as I know, they -- they take the facts about the products and they go out and talk to customers and look at what's going on in order to form their opinions. So it seems like a really bizarre question. They do their own thinking and form their own opinion. They might meet with Microsoft to get our view on what we're doing in products and how customers are responding to that. I personally basically don't meet with financial analysts or talk with financial analysts with the sole exception of the once-a-year analysts day that Microsoft has had.

Q My question, sir, is what you wanted to accomplish with financial analysts. It's not about whether you did it personally or whether Microsoft did it with somebody else. It is what you wanted to accomplish.

And what I'm asking you is: Did you

want to bring about a state of affairs where financial analysts developed a negative or pessimistic view about Netscape's business prospects?

A Our focus was doing great software products. And that focus might have had the indirect effect of influencing those people's opinion. But our focus was building those products and getting feedback to guide us in doing a good job in building those products.

Q Now, my question now is not about what your focus was and it's not about indirect effects, it is about what you wanted, it is about your intent, it is about what you were trying to accomplish.

Were you in 1996 trying to get financial analysts to develop a more negative and more pessimistic view about Netscape's business prospects?

A Except through the indirect effect of them seeing how customers received our products and our product strategies, that was not a goal.

Q If that was not a goal, sir, why did you say in substance that the Internet browser would be forever free?

A That was a statement made so that customers could understand what our intent was in

terms of that set of technologies and how it would be a part of Windows and not an extra cost item, and so people would have that information in making their decisions about working with us on Windows.

Q Now, is it your testimony that when Microsoft told the world that its browser would be forever free, that the desire to affect financial analysts' view of Netscape played no role in that decision?

A I can be very clear with you. The reason we told people that it would be forever free was because that was the truth. That's why we told them that, because it was the truth.

Q Now, Mr. Gates, my question to you --

A That's the sole reason we told them.

Q And my question to you is whether or not the truth was, in part, due to your desire to adversely affect financial analysts' view of Netscape. Did that play any role, sir?

A You've been asking me a question several times about why did we say something. We said it because we thought our customers would want to know and because it was the truth. And that explains our saying it completely.

Q And what I'm asking you, sir -- and it

may be that the answer to my question is, "no, it played no role." But if that's your answer, I want to get it on the record. And my question --

A Are you talking about saying it?

Q Yes.

A Or how we came up with our decision about how to price our products?

Q Let's take it each step at a time, one step at a time, so that your counsel doesn't say I'm asking you a compound question, okay? And first let's talk about saying it.

I know you're telling me it was the truth. In addition to it being the truth, did the fact that this would, in your view, adversely affect the view of financial analysts of Netscape play any role at all in your decision to announce that your browser would be forever free?

A I actually think that came up in response to some questions that people asked in an event we had on December 7, 1995. So it wasn't so much a question of our saying, okay, we're going to go make this a headline, but rather, that there were questions that came up during that including our future pricing plans.

Q This was a meeting on December 7 of

what year?

A 1995.

Q And was it attended by people outside Microsoft?

A It was a press event.

Q And prior to attending that press event, had you made a decision that it would be forever free?

A Well, if you really want to probe into that, you'll have to get into the different ways that we made Internet technology available.

In terms of what we were doing with Windows 95 and its successors, yes. In terms of some of the other ways that we offered the Internet technologies, there was some -- there hadn't been a clear decision about that.

Q When you refer to other ways that you offer Internet technologies, would you explain for the record what you mean?

A Oh, we created an offering that ran on the Macintosh OS that offered some but not all of the capabilities that we put into Windows and used a common branding for that. And we came up with a package that ran on a previous version of Windows, Windows 3.1, and made an offering of that.

Subsequently I mean, not on that day, but subsequently.

Q And those were charged for; is that what you're saying?

A I'm saying that before the December 7th event, it was clear to everyone that in the Windows 95 and its successors, that the browser technology would be free for those users. But it was unclear to people what we were going to do with the other ways that we packaged up the technologies.

Q Would you read the question back, please?

(The following question was read:

"Q And those were charged for; is that what you're saying?")

THE WITNESS: Well, they weren't available. So if we're talking about December 7, 1995, it's not a meaningful question. Subsequently those products were made available to the customers without charge. But I'm saying that there was some lack of clarity inside Microsoft even up to the event itself about what we were going to do with those other ways we were providing Internet Explorer technology.

Q BY MR. BOIES: Uncertainty as to

whether you would charge for them; is that what you're saying?

A That's right.

Q Okay.

Prior to the December 7, 1995 meeting, had a decision been made to advise the world that not only would the browser be free, but it would be forever free?

A Well, it's always been the case that when we put a feature into Windows, that it remains part of Windows and doesn't become an extra cost item. So it would have been kind of a silly thing for anyone to ask including about that particular feature. And by this time, of course, browsing is shipping with Windows 95.

Q Exactly sort of the point I wanted to come to, Mr. Gates.

When you put things into the operating system generally, you don't announce that they're going to be forever free, do you?

A Yes, we do. If anybody --

Q You do?

A If anybody asks, that's obviously the answer we give.

Q Have you finished your answer?

A Yes.

Q Okay.

Could you identify for me the products other than browsers that Microsoft has announced that they would be forever free, expressly said, "These are going to be forever free"?

A As I said to you, I think that actually came up only in response to some questions. So it's not proper to ask me and suggest that we announced it like it was some, you know, press release announcement or something of that nature.

Q Well, let me come back to that aspect of it and just ask you for the present. What products has Microsoft said publicly, whether in response to a question or otherwise, that these would explicitly be forever free?

A I've said that about the broad feature set that's in Windows.

Q When did you say that, sir?

A I remember an analyst talking to me about that once at an analyst meeting.

Q When was that?

A It would have been one of our annual analysts meetings.

Q When?

A Not this year. Either last year or the year before.

Q Is there a transcript of that analyst meeting?

A Not with the conversation with that analyst, no.

Q There are transcripts of analysts meetings, aren't there, Mr. Gates?

A Only of the formal Q and A, not of the -- most of the Q and A, which is where people are mixing around with the press and analysts who come to the event.

Q And this question that you say happened happened after the transcript stopped being taken; is that what you're saying?

A That's my recollection, yes.

MR. BOIES: We'd like to be sure that if those transcripts have not been produced, that they be produced.

MR. HEINER: Well, serve a document request and we'll respond in the ordinary course.

MR. BOIES: Okay. If that's what's required, we'll do that. We'll see if we can get you a request faxed down. I would have thought it would have been easier for you to take that under

advisement, but we'll proceed that way.

MR. HEINER: It is a nonsensical request because the testimony is that it's a cocktail hour, and at a cocktail hour there's no transcript. That's the testimony.

Q BY MR. BOIES: Is that the testimony, this happened in a cocktail hour?

A I'm saying, yeah, in the informal Q and A, not the formal Q and A.

Q This was at the cocktail hour?

A Or a dinner or a lunch.

Q Well, which was it?

A I'm certain that it was in the informal part of the Q and A. Exactly was it on the way to the bathroom or the cookie table or the dinner or the cocktail hour, I can't say.

Q Sir, sometime on the way to the bathroom or cookie table or the cocktail hour --

A Or lunch or dinner.

Q -- or lunch or dinner, some analyst, whose name you do not recall, asked you a question. Is that what your testimony is?

A Yes.

Q And what was that question?

A They asked about were there parts of

Windows that would become separate products and we'd charge separately for in the future.

Q And what did you say?

A I said, "No."

Q Other than this conversation that you say took place on the way to the bathroom or the cookie table or a cocktail party or lunch or dinner, was there ever any other time that Microsoft publicly explicitly asserted that something would be forever free?

A I'm sure that if anybody ever asked about an operating system feature, we would have made that clear to them. I don't -- beyond the one I've talked about, I don't -- I don't recall that.

Then, again, you know, in the case of the browser you have the case where another company had -- it had been free and so, you know, the fact that people were asking about that feature in some ways is not surprising.

Q Well, you say another company had a browser that had been free. What company was that, sir?

A Well, certainly Mosaic was free. And there are a number of other free browsers. The Netscape browser in its early days was also free.

Q In 1996 was the Netscape browser free?

A I'm not sure of the exact chronology.

But I'm pretty sure that in 1996 anybody who wanted to use the Netscape browser could download and use it in any way they would want without Netscape coming and asking them to pay them.

Q Mr. Gates, in 1996 what was Mosaic's market share?

A I don't know.

Q Approximately?

A I really don't know.

Q Can you give me any estimate or range?

A By 1996, probably under 10 percent.

Q Under 5 percent?

A Well, now you're going to have to answer what the word "Mosaic" means. For example, if you get low enough, get really low, we're going to get into Internet Explorer. Internet Explorer, until we shipped IE3, actually had quite a bit of code in it that derived from Mosaic; that is, the code went from University of Illinois to Spyglass to our development team who used some of that code in creating both IE1 and IE2. So if you get low enough, I'll have to ask you do you consider IE1 or IE2 a form of Mosaic?

Q Not for purposes of this question, if it will help you.

A Okay. Then you can get down below 5.

Q Okay.

In 1996 Netscape was charging OEMs who it licensed to distribute its browser; correct, sir?

A I don't know that.

Q Do you know one way or the other?

A I think they were charging some, but I'm not sure they were charging all.

Q Did you ever try to find out?

A I know we were always unclear what the nature of those deals were.

Q Okay.

Did you ever try to find out how much of Netscape's revenue came from charging for the browser?

A Well, we, from time to time, looked at the revenue of broad sets of competitors. And so I'm sure at some point when we did -- the people in the company, not me, but when people did analysis of Netscape, that's one of the issues they would have looked at.

Q Did anyone ever inform you of approximately how much of Netscape's revenue was

accounted for charging for the browser?

A I'm sure I was present in a presentation where that was one of hundreds of facts presented to me.

Q Do you recall it?

A The number? No.

Q Or approximately how much of Netscape's revenue was accounted for by charging for the browser.

A When we say "charge" -- well, I don't remember the number, so I won't plague you with the question that I always have to ask about that, which is: Which revenue source are you talking about? But even if you tell me, I won't remember the specific number.

Q I'm going to ask you whether you remember approximately what the range of the number is. And to be absolutely clear, what I'm talking about is charging for the browser. I'm not talking about advertising revenue, you know, or revenue from the Search button or the Home Page.

A But that's charging for the browser. I mean, it's like saying NBC has no revenue.

Q No. It's not like saying it has no revenue. It's like saying NBC doesn't charge for its

programs to the public. It may charge advertisers, and I'm not saying that there might not be advertising revenue. But what I'm talking about is charging for the use of the product, charging OEMs or charging end users who buy it at retail or download it, although I understand that your position is it's downloaded for free. But I'm trying to distinguish between charging for the product and whatever advertising revenue they get.

A Okay.

Q Now, with respect to charging for the product, charging for the use of the browser, do you have any idea, any approximation or range, of how much of Netscape's revenue was attributed to that?

A If you give me a time period, I can narrow it down from the zero to 100 percent range.

Q 1996.

A Around 20 to 50.

Q Today.

A Today the advertising revenue from browsers --

Q No, not advertising. We're talking about the revenue from the use of the browser, not the advertising. We're just talking about --

A I know, that's right. But let me

complete my sentence.

Q Okay.

A Today the -- what you would call nonuser revenue sources are very substantial, and, you know, more than cover what people are doing with browser. So that's become the primary revenue source that you get specifically related to the browser.

Q Indeed today the amount of Netscape's revenue that's attributed to charging people for the use of the browser is zero; right, sir?

A I don't know that.

Q Because they don't charge for the browser; right? You know that, don't you?

A No, I don't know if, you know, they had some commitment contracts with various people and you can do special things with browsers. And understand, they -- you know, they do lots of different deals that include various special things. And so I don't think it's fair for me to sit here and tell you what Netscape's revenue are from a particular source.

If you want to ask me about Microsoft, that would be a different thing. But I'm not an expert on Netscape revenue.

Q And so you just don't know, is your answer, as you sit here now?

A Yeah. It may have dropped down to zero. I don't know.

Q Okay.

Was it part of your intent in taking the actions that Microsoft took to drive that down to zero?

MR. HEINER: Objection.

THE WITNESS: We price our product, Windows. That's the only thing we do relative to pricing. The most important thing we do is we create the features of the product including improved versions.

Q BY MR. BOIES: Let me be sure my question is clear.

Was any part of Microsoft's actions with respect to its browser or, as you sometimes refer to it, browser technology, motivated by desire to drive Netscape's revenues from users of Netscape's browser down to zero?

A Well, I think you're getting a little bit psychological there.

Q No. I'm asking what you intended.

What was the purpose of what you were doing?

A My purpose was to make Windows a better product and maintain and increase the popularity of

Windows.

Q Was that the only purpose?

A That was the purpose on which the decision was made.

Q I just want to be clear.

It's your testimony that an intent to deprive Netscape of revenue played no role in any of the decisions that Microsoft made with respect to browsers or browsing technology? Is that your testimony?

A Well, our decision to have the browser be a feature of Windows was in no way motivated by something to do with Netscape. We had chosen that that was a logical evolution of the Windows feature set before Netscape was a factor at all.

Q Mr. Gates, if your answer is that it played no role, that is your answer. But I need to get on the record what your answer is.

And my question is whether an intent to deprive Netscape of revenue played any role in any of the decisions that Microsoft made with respect to its browser or browsing technology.

A We decided that it was a logical improvement of Windows to put the browser into Windows before we had much awareness of there even

being a Netscape. So the decision that that would be a feature -- and as I've said, when we make something a feature of Windows, that means that it's available along with all the other features and the license fee, that decision had been made very early on.

We also had a very early recognition of the potential revenue sources from things like the Search button and the Home Page and that those would become quite substantial.

MR. HEINER: Mr. Boies, we're prepared to go right through to 6:00, but we would like to have one more brief break when you come to a logical stopping point. I'm having trouble seeing when the stopping points are. But if you could have one come up soon, I'd appreciate it.

MR. BOIES: Okay. Let me just try to get this question answered, and then we'll take a break.

Can I have the question back?

(The following question was read:

"Q Mr. Gates, if your answer is that it played no role, that is your answer. But I need to get on the record what your answer is.

"And my question is whether an intent to deprive Netscape of revenue played any role in any of the decisions that Microsoft made with respect to its browser or browsing technology.")

Q BY MR. BOIES: If your answer's "no," we'll simply go on. If your answer is "yes," then I'm going to ask what role it was. But I'm just trying as a predicate to find out whether it played any role in any of your decisions.

A I don't know what you mean "any of our decisions." Now, that is the vaguest thing I've ever heard.

Q Okay. Any of your decisions with respect to the browser or what you have referred to as your browsing technology.

A Wait a minute. Have you completely changed the question?

Q I don't think so. But let's go back and reread the question.

And when you read it this time, type it into the record again so it appears so that a reader of the transcript doesn't have to go back and find it.

(The following question was read:

"Q Mr. Gates, if your answer is that it played no role, that is your answer. But I need to get on the record what your answer is.

"And my question is whether an intent to deprive Netscape of revenue played any role in any of the decisions that Microsoft made with respect to its browser or browsing technology.")

MR. HEINER: Object to the question as vague and ambiguous on several counts.

THE WITNESS: Yeah. It's pretty vague. Let's say we decide --

MR. BOIES: This is the same question that we've gone through three times.

MR. HEINER: Yeah, I know. I'm only making the objection now.

MR. BOIES: Okay.

THE WITNESS: Let's say we decide to put a new feature in, is that included in what you're asking about?

Q BY MR. BOIES: A new feature in what?

A In our Internet browser technology.

Q If the purpose is to deprive Netscape of revenue, if that's why you put it in, yes, it is included, sir.

And if you don't understand the question, if my question is not clear, I will rephrase it. You can tell me the answer is "yes," you can say the answer is "no," you can say the answer is "I don't recall," you can say "Your question is so confusing to me, I can't answer it." But all I'm trying to do is find out what your answer is.

Do you have the question in mind?

A I think it's quite a vague question.

Let me just give you a hypothetical to understand.

Let's say we think users want a feature, and it can be a feature that we're doing first or it's a feature that Netscape has done first. When we decide to put that feature in, our primary goal is to make Windows more popular and build momentum for Windows. But certainly there is -- let's say it's a feature that Netscape's done first, then we are thinking, okay, will users be interested in our browser? If it's a feature we've done first, we're thinking will users be interested in our

browser?

So you can't say that, you know, as you get into 1996 that we're unaware of Netscape. And even though what we're primarily doing is related to making better experiences for customers and all that, the fact that we'll be compared with them in terms of how people chose browsers, we're aware of that.

Q I didn't mean my question to suggest that you might have been unaware of Netscape in 1996, Mr. Gates. I assume that you were aware of Netscape in 1996.

My question is whether an intent to deprive Netscape of revenue played any role in any of the decisions that you made about browsers or browsing technology. I'm not talking about a decision where you say, "I understand this would have an effect on Netscape but I don't care, I'm going to do it anyway." I'm talking about a situation in which, at least in part, you take an action with the intended purpose of depriving Netscape revenue.

Did you do that?

A Well, the original decision to include the browser into Windows as a feature of Windows was not taken in response to some thinking about Netscape. But once you get out into a period where

we're looking at Netscape as one of our competitors, it's very hard to say, you know, did that influence our decisions or not. To me that's a very vague question. It's one of the facts we are aware of. Our primary goal, of course, is to make Windows better for customers. And we were doing a lot of great stuff there and were actually very successful once we got past a certain point in doing a product that people did decide to choose. But, you know, how can you -- how can you say, you know, when every person at Microsoft makes any decision -- you know, we don't get to run it where there's no thought about Netscape and there is a thought about Netscape. So you're asking me to reach into people's minds and do something that I think is strange.

MR. BOIES: Would you read back my question one more time and again incorporate it?

(The following question was read:

"Q Mr. Gates, if your answer is that it played no role, that is your answer. But I need to get on the record what your answer is.

"And my question is whether

an intent to deprive Netscape of revenue played any role in any of the decisions that Microsoft made with respect to its browser or browsing technology.")

Q BY MR. BOIES: Have you answered that question now to the fullest extent that you can, Mr. Gates? Because if you can't, we'll just stop.

A I find the question unclear enough, that I'm afraid I won't be able to do any better than I already have.

MR. BOIES: Okay. We can take a break now.

THE VIDEOGRAPHER: The time is 5:22. We're going off the record.

(Recess.)

THE VIDEOGRAPHER: The time is 5:36 P.M. We are going back on the record.

Q BY MR. BOIES: Mr. Gates, before the break you said that Microsoft recognized early that there would be browser revenue from advertising revenue from the Search button and the Home Page. Do you recall that?

A That's right.

Q When did Microsoft first project what

its revenue would be from browser advertising from the Search button and/or Home Page?

A Well, we actually didn't have enough share with IE1 or IE2 that we built that much value at all because we just didn't have much traffic. When it came to IE3 we had a discussion about how we would take that asset and what we would do with that traffic. And we actually chose at that stage instead of charging for it, to build some partnerships by working with people who we directed traffic to.

And I don't know if anybody had done --

I know there was discussions, I don't know if there's a formal document, but we discussed the notion of licensing that out versus just using it to build partnerships.

In terms of actually having people pay us large amounts of money, that's really gotten big in the last year.

MR. BOIES: Would you read the question back, please?

(The following question was read:

"Q When did Microsoft first project what its revenue would be

from browser advertising from the Search button and/or Home Page?")

Q BY MR. BOIES: Do you understand the question, Mr. Gates?

A Yeah. And the answer is: Probably as part of that decision what to do with the IE3 traffic we would have looked at the choice of charging or using it in partnerships.

Q Could you tell me, just for the record, when you're talking about?

A Oh, during the planning cycle for IE3.

Q Which was when?

A That would have been sometime in '96.

Q Okay.

So at some time in '96, according to your testimony, Microsoft made a projection of how much money it could expect to receive from browser advertising from the Search button and/or the Home Page; is that what you're saying?

A Advertising in the very broad sense.

The principle that there would be that revenue predated that. That was an insight we had quite a bit before that.

But the first time we looked at, okay, what should we do with this traffic would have been

when we were thinking that IE3 would garner significant traffic.

Q When you say "the first time we looked at what we would do about the traffic," I want to be sure again that the question and answer is meeting because I know you use words very precisely.

What my question is is: When did you first make a projection, when did Microsoft first make a projection, of how much money Microsoft would receive from advertising revenue in connection with the browser?

MR. HEINER: Certainly asked and answered.

MR. BOIES: You may be right. But because he keeps changing the language he uses, and I know from prior answers that usually when he changes the words, he means something by it, I need to have it tied down.

MR. HEINER: Okay. And I think he does mean something by his use of words. I'm just saying that you asked the question and you got the answer.

Q BY MR. BOIES: Okay. What's the answer?

A We looked at charging as part of the IE3 planning during 1996.

Q I'm not asking when you looked at charging. I'm asking when did Microsoft first make an estimate or projection of how much money it would receive.

A Oh, when we looked at the issue of whether we -- it was a better idea to charge or not as part of the IE3 planning.

Q And that would have been in 1996; is that correct?

A Uh-huh.

Q You have to say "yes" or "no" for the record.

A Yes.

You don't get "uh-huh's"?

Q She does, but it doesn't always come out exactly the way you think.

And who made that estimate or projection?

A I know there was discussion with Pete Higgins and Peter Neupert and myself about that, and each of us would have hazard some view of the value there.

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You were asked some questions earlier
about a June 21, 1995 meeting with Netscape. And
that's a meeting you did not attend; am I correct?

A I've never met with Netscape.

Q And did you know that Microsoft people
were meeting with Netscape before they actually met?

A I don't recall knowing in advance.

Q You did know after the fact because you
got the e-mails that we saw; correct?

A Yeah. That's right. I recall getting
those e-mails, at least the Thomas Reardon/Silverberg
one.

MR. HEINER: Mr. Boies, it's 6:00 now,
it's been a pretty full day. If this is a relatively
short line of questioning, why don't you finish it
up, we'll go to about 6:15.

MR. BOIES: Okay.

MR. HEINER: Okay.

Q BY MR. BOIES: You are aware that it has been asserted that at that meeting there was an attempt to allocate markets between Netscape and Microsoft; correct, sir?

A My only knowledge of that is that there was an article in the Wall Street Journal very recently that said something along those lines. Otherwise, no.

Q Is it your testimony that the first time that you were aware that there was an assertion that there had been a market allocation meeting or an attempt to allocate markets at a meeting between representatives of Microsoft and Netscape was a recent Wall Street Journal article?

A I'm not sure how to characterize it. The first I heard anything about that meeting and somebody trying to characterize it in some negative way was an Andreessen quote that was in the Wall Street Journal very recently. And it surprised me.

Q Are you aware of any instances in which representatives of Microsoft have met with competitors in an attempt to allocate markets?

MR. HEINER: Objection.

THE WITNESS: I'm not aware of any such

thing. And I know it's very much against the way we operate.

Q BY MR. BOIES: It would be against company policy to do that?

A That's right.

Q Now, subsequent to being apprised that Mr. Andreessen, at least, was asserting that this had happened, did you make any effort to find out what had actually happened at that meeting?

A Well, first of all, I don't want to be involved in characterizing what Mr. Andreessen said because I -- I -- all I know is something about a quote about a dead horse head or something like that. That was what I recall from the Wall Street Journal article.

I did, after the Wall Street Journal article, see some e-mail that Andreessen had sent our people after the meeting saying it was a great meeting, and I did see the Reardon mail that I deleted but somebody gave back to me and some Reardon notes from the meeting.

Now, I think we're talking about the same meeting. I think there may have been more than one. But in any case, I think we're talking about the same meeting.

Q I think the record may show that there was a meeting before the June 21 meeting.

A That sounds right.

Q But the meeting that I was particularly asking about was the June 21 meeting. And I think that that probably was what was in the Wall Street Journal.

A No. You can't really say because the Wall Street Journal talked about a May meeting, and May is not June, not by a long shot.

Q You're right. May is not June. I agree that May is not June. And maybe there were two such meetings.

A Well, I'm not aware of any meeting between us and Netscape in May. So that seems very strange. And that confused me about that Wall Street Journal article.

Q Let me ask you: Did you -- when you saw the Wall Street Journal article that talked about a May meeting in terms of allegedly market dividing conduct, did you try to find out whether there had been a May meeting between representatives of Microsoft and representatives of Netscape?

A Well, again, I wouldn't characterize the article in that way. When I read the article,

what it said interested me enough and concerned me enough, I did seek to find out if there was a May meeting. But I don't think the article is what you're suggest -- said what you're suggesting. I mean, we should get a copy of the article. I don't remember it that way. I remember Andreessen talking about how he had been in fear that Don Coerleone had come to see him. And, you know, once I realized that there was no meeting in May and that it wasn't -- you know, that he after the meeting said he enjoyed the meeting and that it was, you know, just a group of our guys down there trying to talk about if there was any areas of cooperation, it seemed -- the whole thing seemed very strange to me.

Q Did you talk to people to find out whether there was a May meeting?

A Yes.

Q Who did you talk to?

A I consulted with my lawyers.

Q Other than consulting with your lawyers, did you try to find out whether there was a May meeting?

A Well, my lawyers then talked to all the people that might have met with Netscape, and I made sure they did that pretty broadly.

Q And you were informed that there was no May meeting; is that your testimony?

A That's the understanding I was given, yes. And then I was given some of the other information that I've already mentioned.

Q But all that information came from your lawyers not from nonlawyer employees of Microsoft; is that what you're saying?

A It came to me through my lawyers.

Q Did you ever have a conversation with anyone in the last 12 months other than your lawyers concerning whether there were meetings in May or June of 1995 with Netscape, and if so, what happened at those meetings?

A Well, there might have been a point after I got all the data from the lawyers where I said to some of the PR people what an outrageous slander that article had been and how unfair I felt it was. And so I may have mentioned that to them.

Q Did you have any conversations in the last 12 months with any person who was dealing with Netscape in 1995 about whether there were May or June meetings and if so, what happened at those meetings?

A No. I relied on the lawyers to go and meet with those people and gather the facts and

educate me about was there a May meeting and what was the agenda or what was Andreessen's state of mind after the meeting, what did the notes look like. But that's all very recent. That is after the Journal article.

Q Now, have you ever read the complaint in this case?

A No.

Q Have you ever received a summary of the complaint in this case?

A I wouldn't say I've received a summary, no. I've talked to my lawyers about the case but not really the complaint.

Q Do you know whether in the complaint there is an assertion -- I'm not talking about the Wall Street Journal article, I'm talking about the complaint that was filed last May.

Do you know whether in that complaint there are allegations concerning a 1995 meeting between Netscape and Microsoft representatives relating to alleged market division discussions?

A I haven't read the complaint so I don't know for sure. But I think somebody said that that is in there.

Q Did you find that out before or after

the Wall Street Journal article?

A The first time I knew about these allegations was the Wall Street Journal article.

Q That is, that article preceded any knowledge that you had or didn't have related to the complaint?

A That's right.

MR. BOIES: Okay. That completes that line of questioning.

MR. HEINER: Okay.

Pick up tomorrow at 8:30?

MR. BOIES: That would be good.

THE WITNESS: Yeah. The 4:00 deadline tomorrow is unfortunately not a movable deadline.

THE VIDEOGRAPHER: This is the end of the deposition. The time is 6:12. This is the end of Tape 4 of the videotaped deposition of Bill Gates to be continued tomorrow morning at 8:30 A.M. which is August 28th.

* * *

I hereby declare, under penalty of 2 perjury, that the
foregoing answers are true and 3 correct to the best of my knowledge and belief.
EXECUTED AT _____, CALIFORNIA,
this ____day of _____, 1998.

Bill Gates